

The background of the slide is a low-angle, upward-looking photograph of a modern glass skyscraper. The building's facade is composed of a grid of glass panels and metal frames, reflecting the sky. The perspective creates a sense of height and architectural scale. The sky is a clear, pale blue.

Moody's

3Q 2018 Investor Presentation

November 6, 2018

Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for the Company's business and operations that involve a number of risks and uncertainties. The forward-looking statements and other information in this release are made as of the date hereof (except where noted otherwise), and the Company undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank") and regulations resulting from Dodd-Frank; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Dodd-Frank legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2017, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

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Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



» **Defend and enhance our core ratings & research businesses**

- Ratings: predictive, predictable and transparent
- Research: timely and insightful

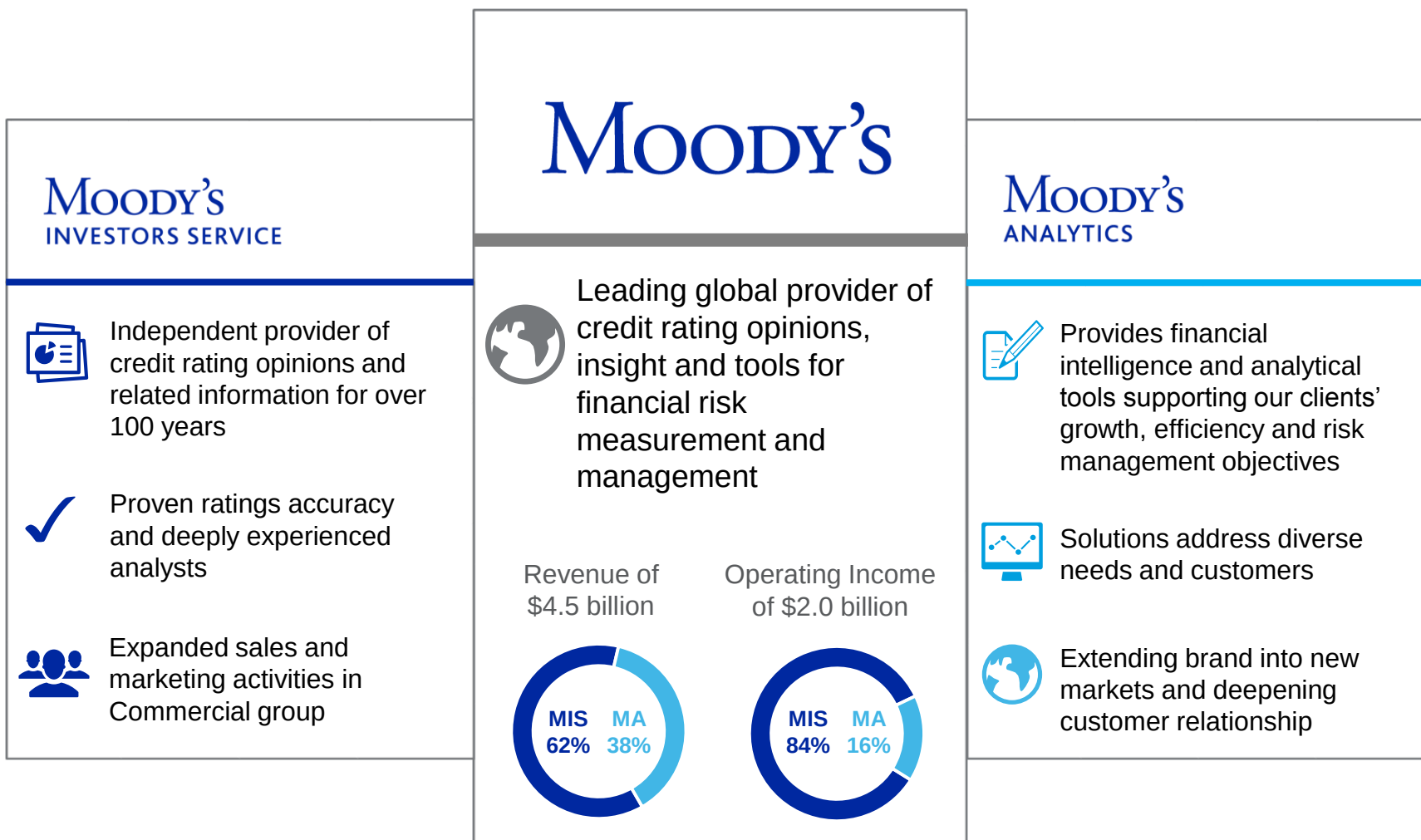
» **Pursue strategic growth opportunities**

- Leverage the brand to extend our reach in financial markets
- More broadly occupy credit / financial risk management and information vertical
- Extend both thought leadership footprint and presence as a recognized standard
- Move upstream in emerging financial markets

1

Financial Overview

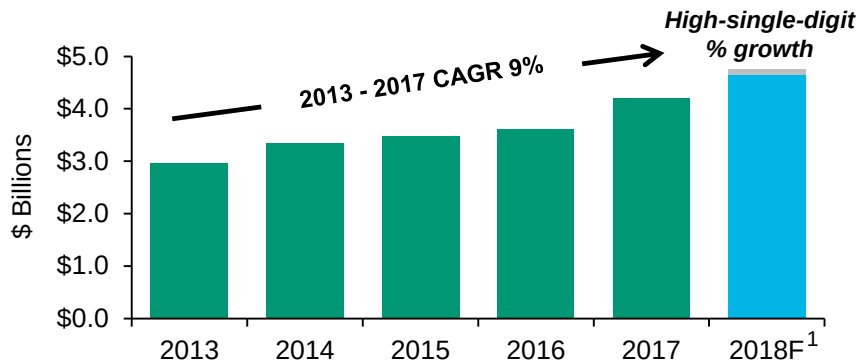
Overview of Moody's Corporation



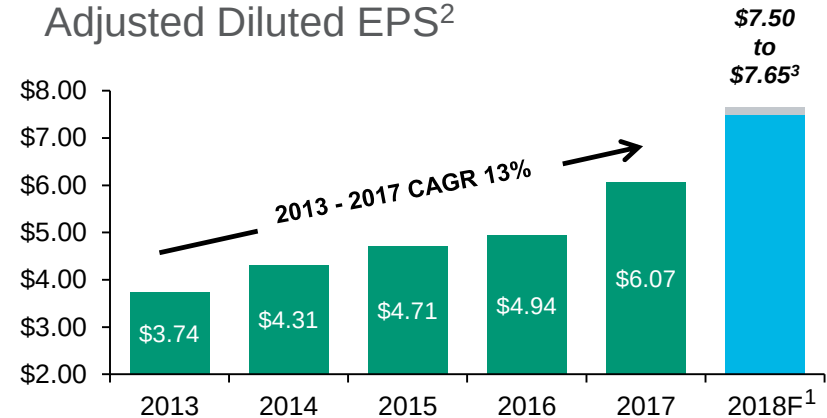
Note: Financial data for the trailing twelve months ended September 30, 2018.

Financial Performance

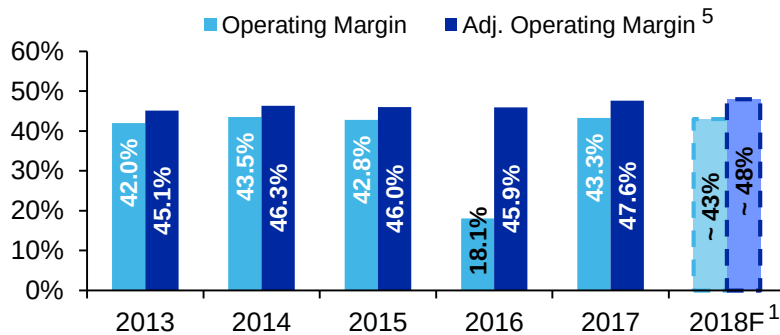
Revenue



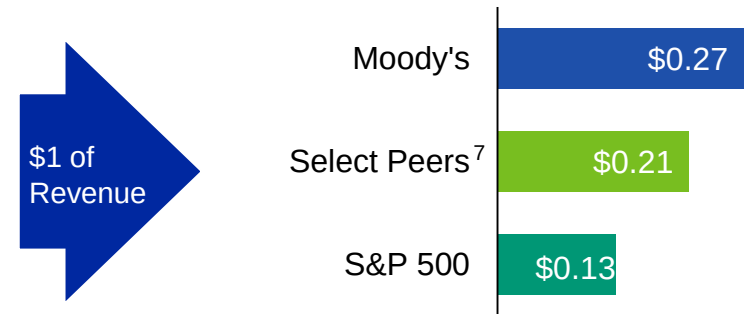
Adjusted Diluted EPS²



Operating Margin⁴



5-year Average Free Cash Flow Conversion⁶



1. Guidance as of October 26, 2018.

2. Adjusted diluted EPS is an adjusted measure. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

3. Includes an approximate \$0.60 benefit resulting from the lower U.S. statutory tax rate.

4. 2013 – 2017 operating and adjusted operating margins have been restated to conform to the new presentation for pension expenses.

5. Adjusted Operating Margin is an adjusted measure. See appendix for reconciliation from adjusted financial measures to U.S. GAAP.

6. As of October 2018, over the last five available fiscal years ended 2017. Free Cash Flow is an adjusted financial measure. See appendix for reconciliation from adjusted financial measures to U.S. GAAP. Source: FactSet.

7. Includes: CLGX, DNB, EXPN, FDS, INFO, MORN, MSCI, SPGI, TRI and VRSK.

Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth



EPS

Low Teens % Growth Range^{1, 2}

Note: Long-term growth opportunities presented on this slide are on average over time.

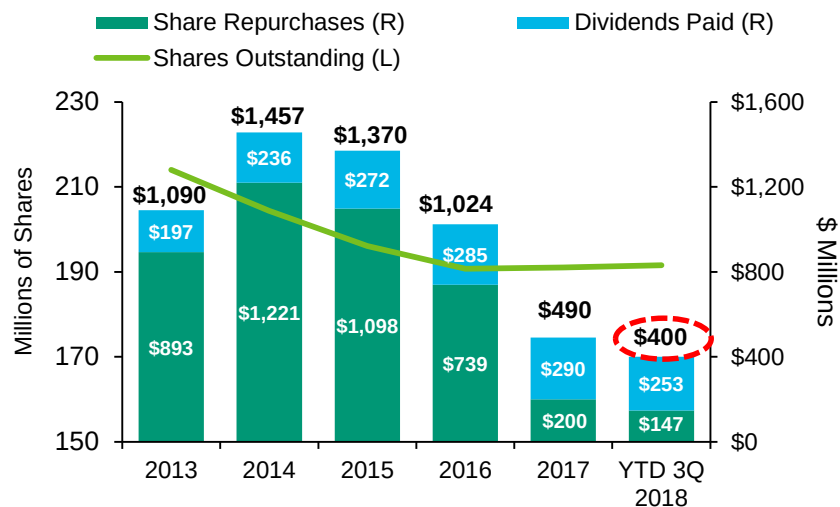
1. Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

2. Subject to market conditions and other ongoing capital allocation decisions.

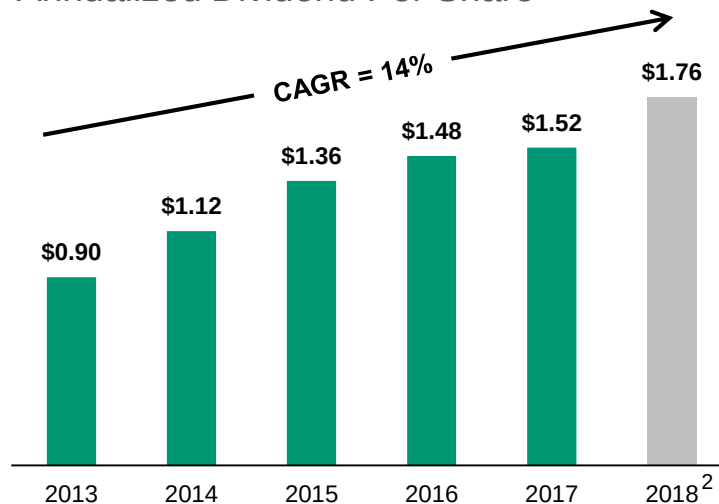
Disciplined Approach to Capital Allocation

Investing in Growth Opportunities		Return of Capital	
 Reinvestment Invest in existing businesses to support organic growth	 Acquisitions Evaluate carefully to make sure aligned with strategy and market evolution	 Dividends Grow dividend in line with earnings; target 25% - 30% payout¹	 Share Repurchase Follow reinvestment, dividends and acquisitions in capital allocation prioritization

Share Repurchases and Dividends Paid



Annualized Dividend Per Share

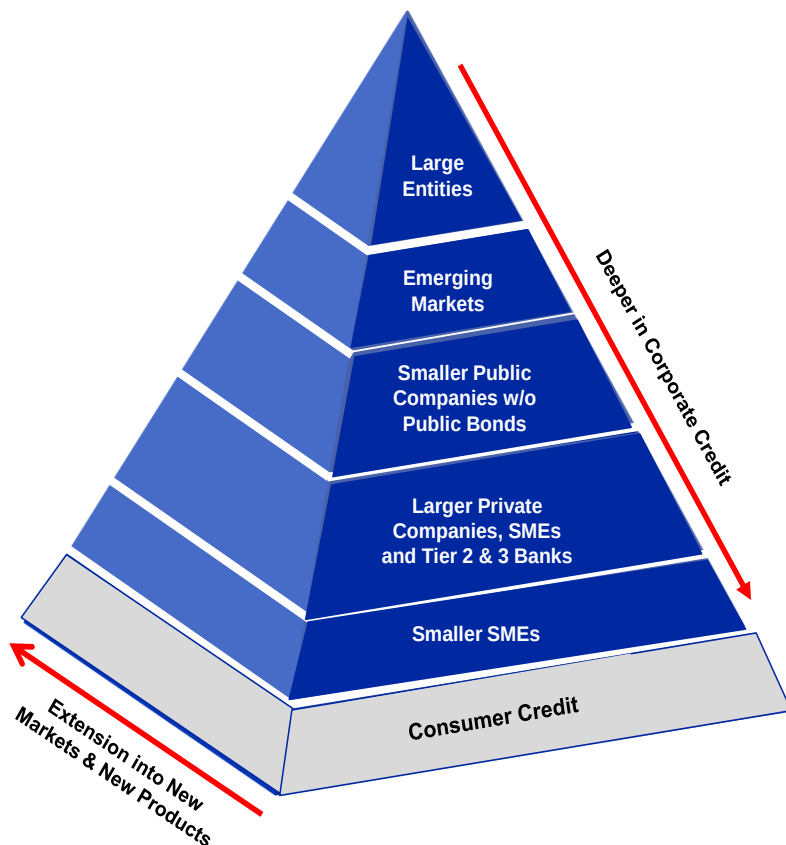


1. Dividend payout ratio is defined as dividends per share paid/adjusted net income.

2. Annualized dividend total, based on first, second, third and fourth quarter dividend of \$0.44 declared on January 24, April 24, July 10 and October 22, 2018, respectively.

Pursuing Organic and Inorganic Investments to Execute on Moody's Mission

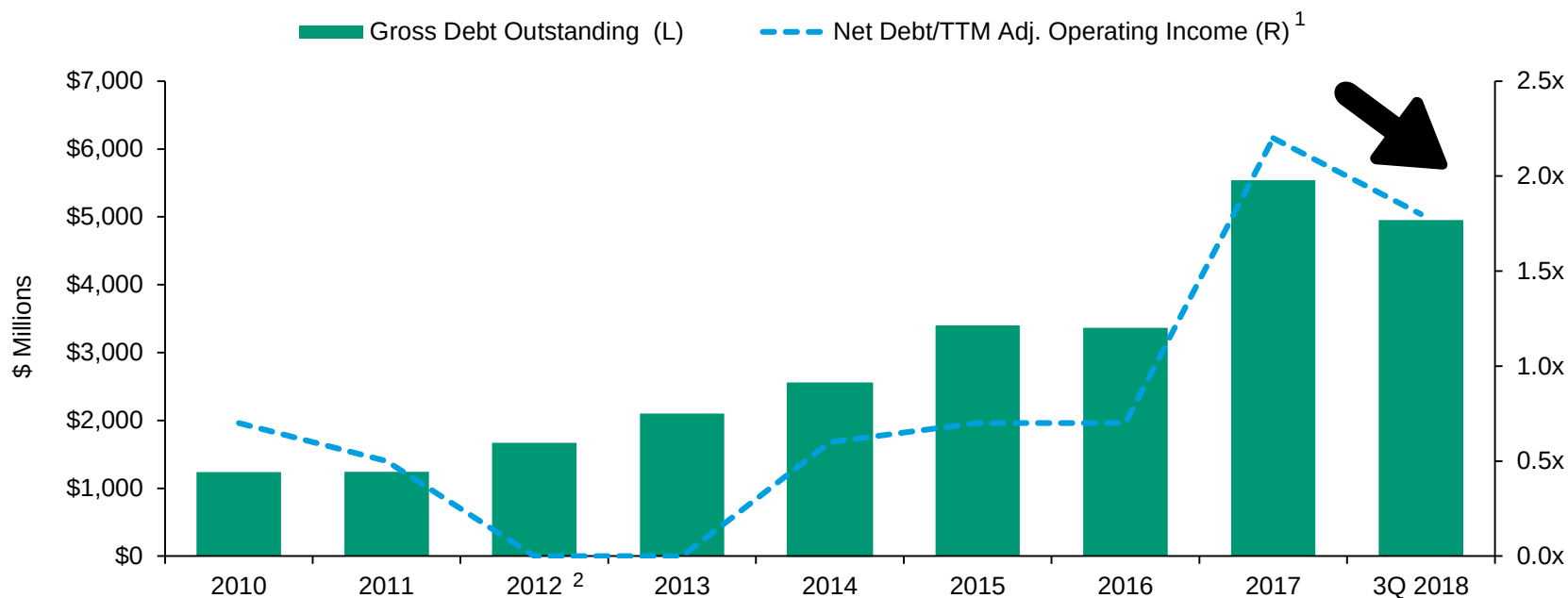
Deepen Moody's Role in Credit:
Expand Down the Credit Pyramid



Strategic Focus Areas to Increase
Breadth and Depth



De-leveraging in 2018 to Maintain Current BBB+ Credit Rating



- » Current long-term credit ratings from S&P and Fitch are each BBB+ (stable)
- » Solid investment-grade rating provides reliable, cost-effective access to capital in a variety of market environments

1. Trailing twelve months adjusted operating income. Amounts are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP and gross debt to net debt.

2. Negative net debt / TTM adjusted operating income calculation shown as 0.0x.

2018 Outlook

Guidance as of October 26, 2018¹

Revenue	High-single-digit % growth
Operating Expenses	High-single-digit % growth
Operating Margin	~43% ~48% (Adjusted ²)
Effective Tax Rate	22% - 23%
EPS	\$6.95 - \$7.10 \$7.50 - \$7.65 (Adjusted ²)
Free Cash Flow ²	~\$1.5 billion

1. See press release titled "Moody's Corporation Reports Results for Third Quarter 2018" from October 26, 2018 for Moody's full 2018 guidance.

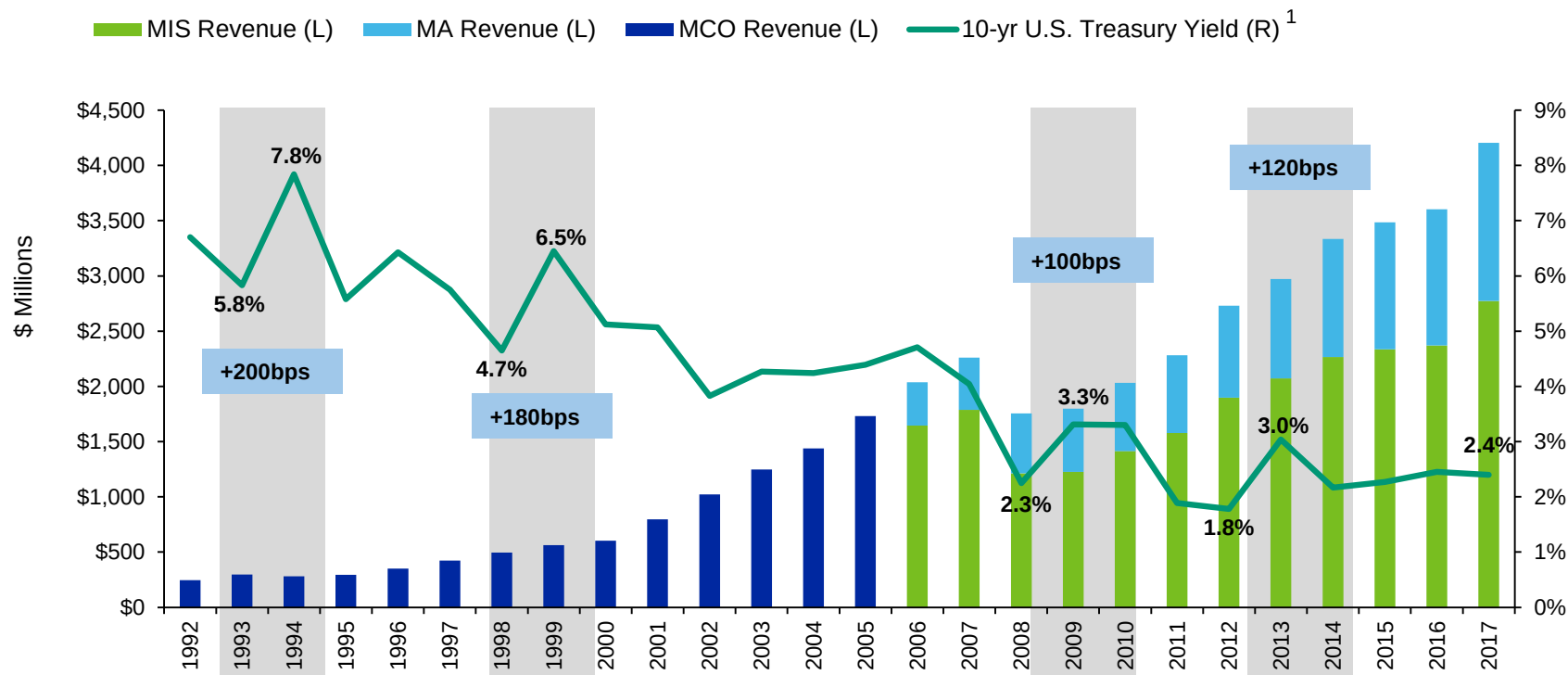
2. These metrics are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

2

Capital Markets Overview

Historically, Rising Rates Have not had a Significant Impact on Moody's Revenue

MCO Revenue and Interest Rates

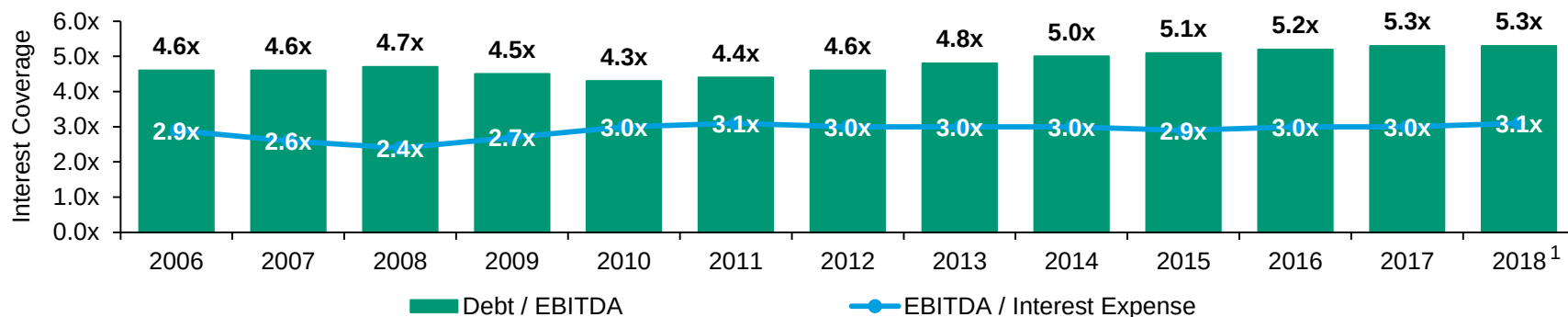


1. 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

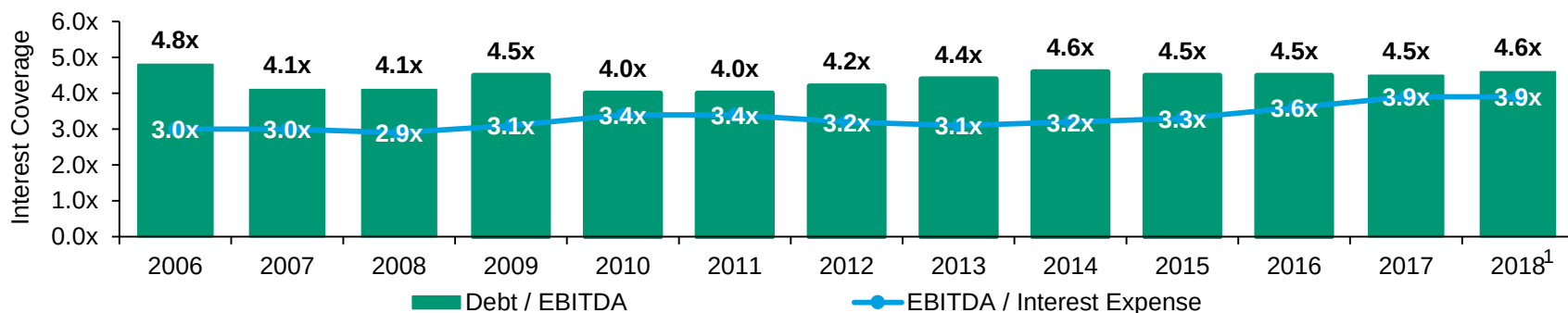
Source: www.treasury.gov.

Debt Leverage and Interest Coverage Remain Stable in North America and Europe

Credit Metrics: North American Speculative Grade Companies



Credit Metrics: European Speculative Grade Companies

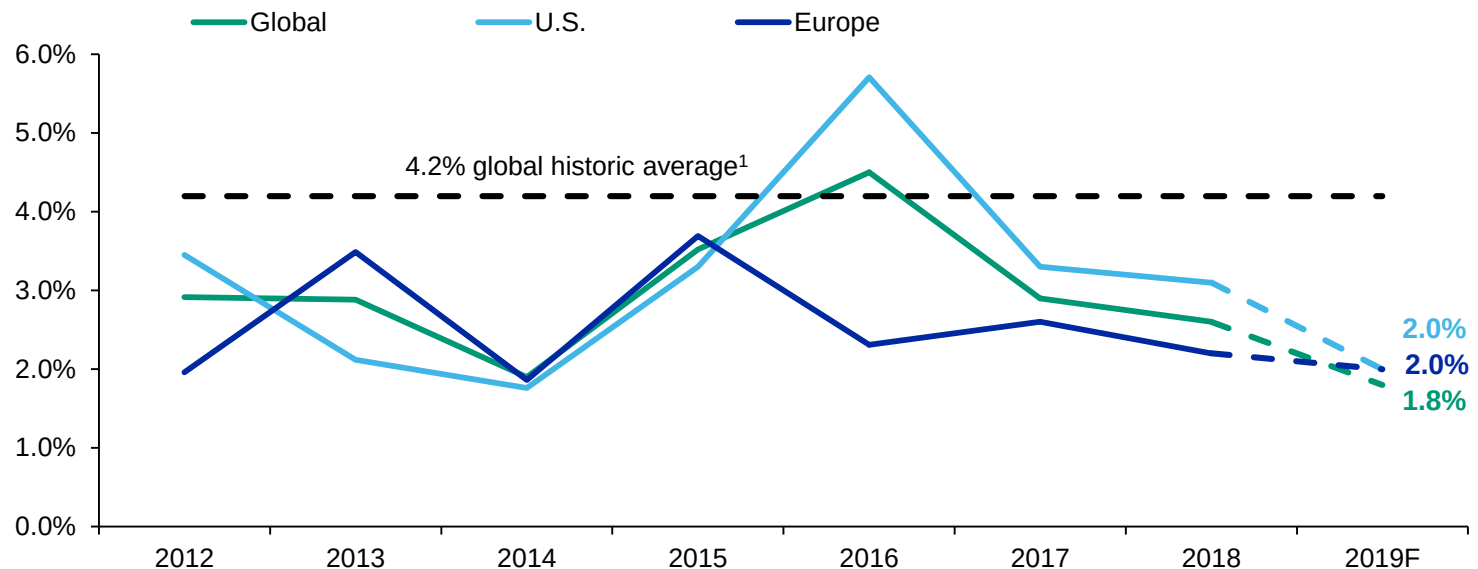


1. Trailing twelve months as of September 10, 2018.

Source: Moody's Investors Service.

Global Default Rates Remain Under Historic Average

Default Rates for Corporate Rated Issuance¹

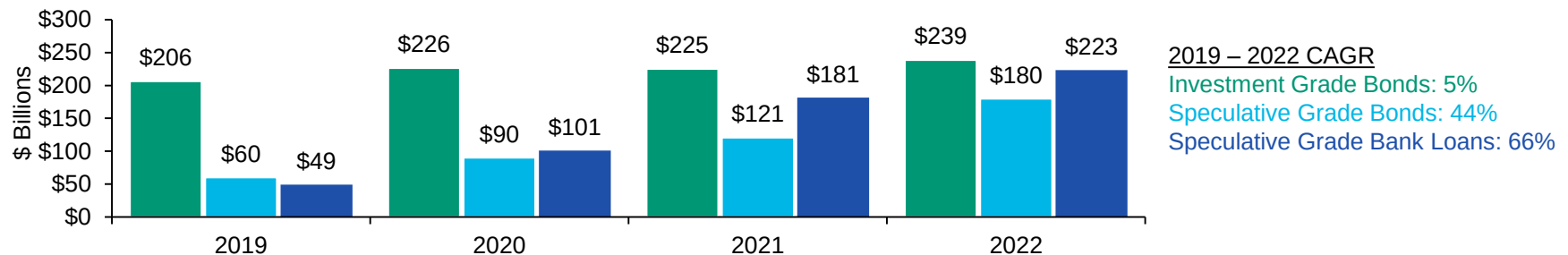


- » Global speculative-grade default rate at 2.6% as of September 30, 2018; expected to decline to 1.8% by September 2019

1. Moody's rated corporate global speculative grade default historical average of 4.2% since 1983. 2019 forecast for trailing twelve months ended September 30, 2019. Source: Moody's Investors Service.

North America and EMEA Non-Financial Corporates Have Significant Refunding Needs¹

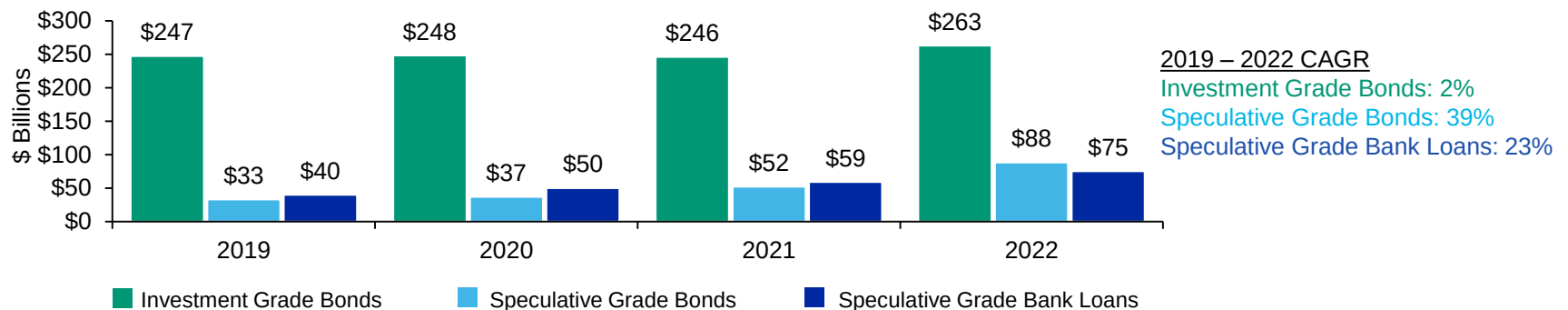
Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



Source: MIS, February 2018.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans

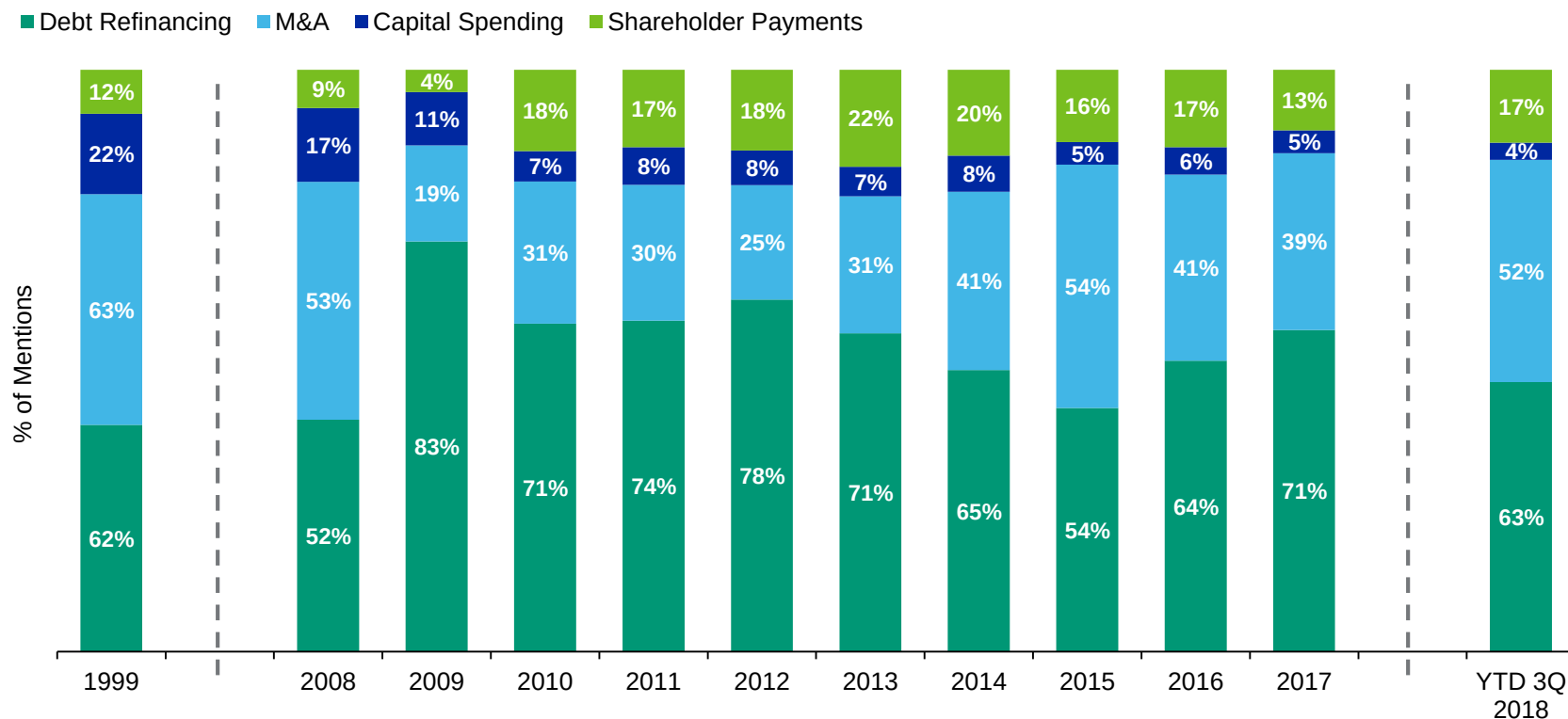


Source: MIS, July 2018.

1. Amount reflects total maturities identified in the above sources.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

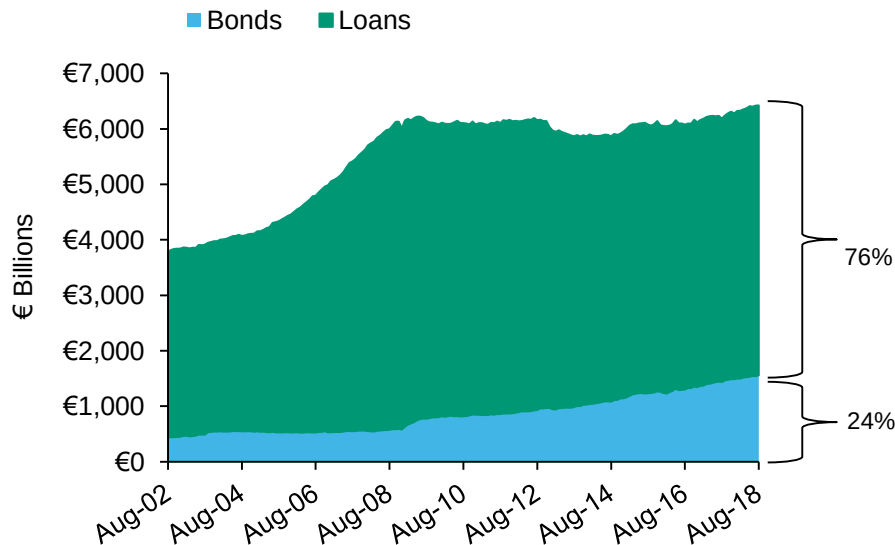
Uses of Funds from USD High Yield Bonds and Bank Loans¹



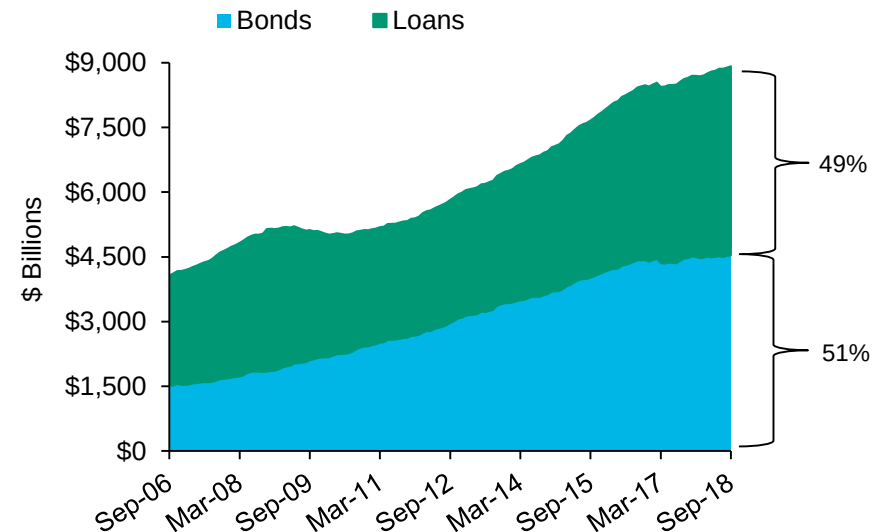
1. Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.
Source: Moody's Analytics.

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding

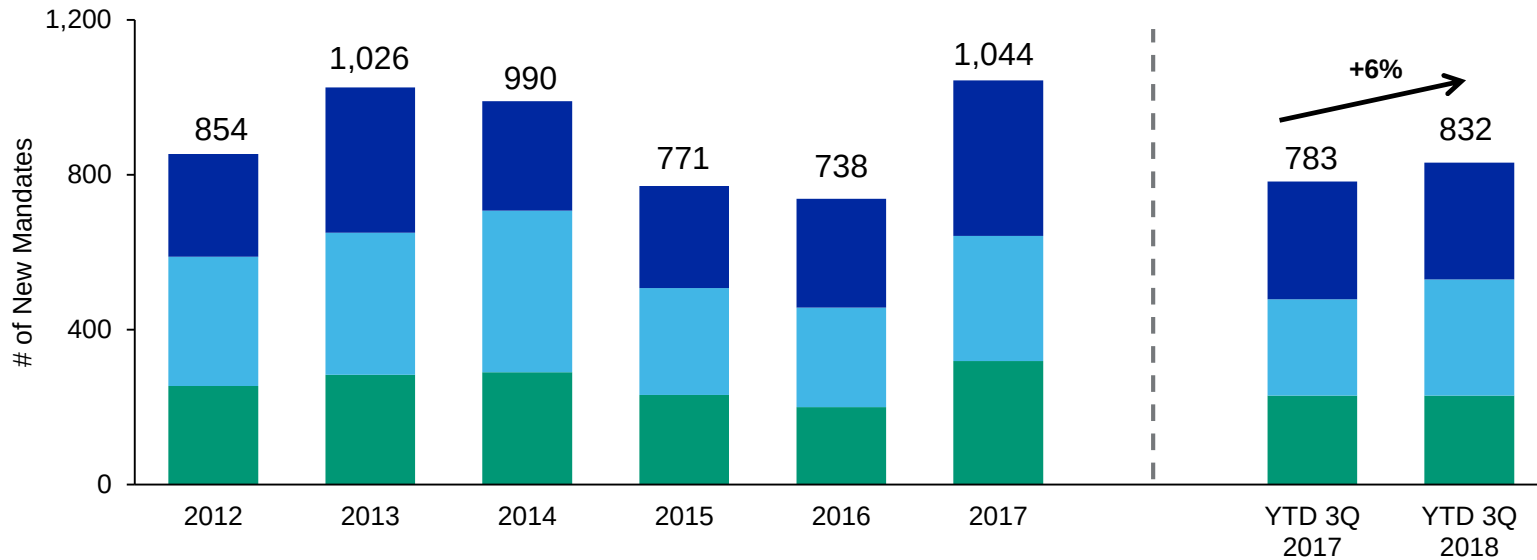


Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European data is through August 2018 and U.S. data is through September 2018.

Robust Growth of New Rating Mandates

Global New Rating Mandates¹

■ EMEA ■ United States ■ Rest of World



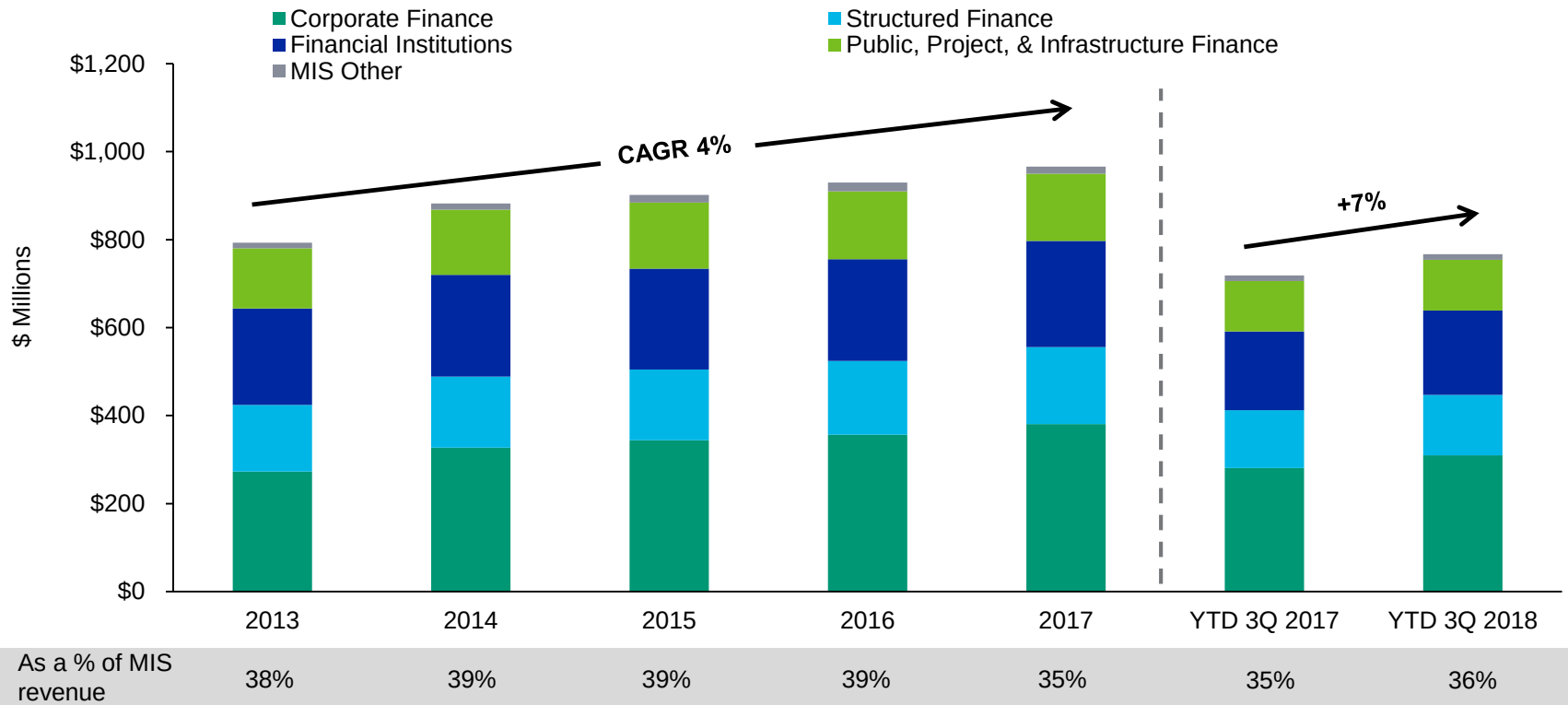
» Expect ~1,000 new mandates in 2018²

1. Rated by Moody's Investors Service.

2. New mandates estimate as of October 26, 2018.

New Rating Mandates Provide Recurring Revenue¹ Growth

MIS Recurring Revenue



- » MIS recurring revenue growth primarily driven by increased monitoring fees from recent new mandates
- » Recurring revenue ~35% of total MIS revenue

1. MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.

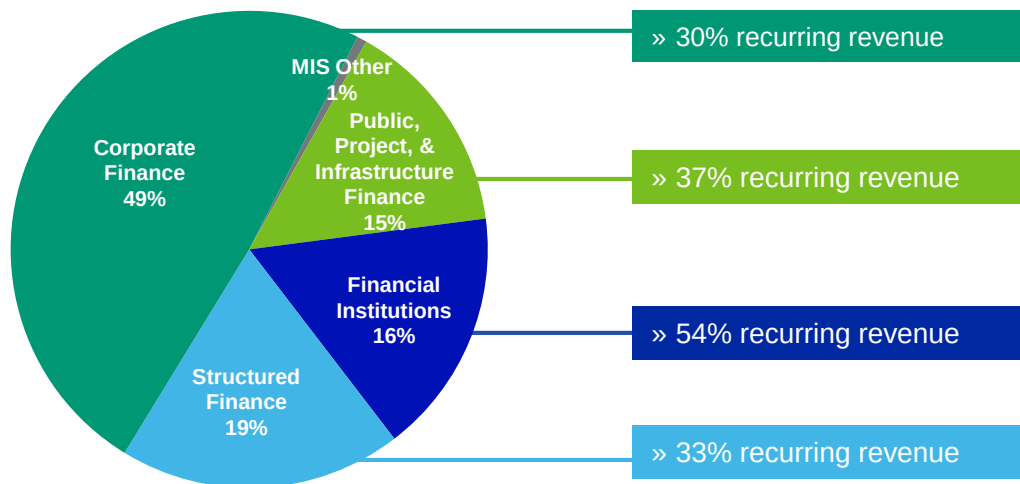
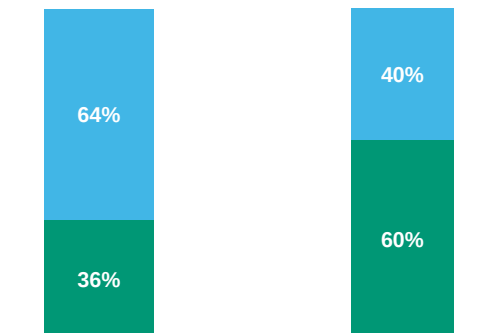
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Moody's Investors Service

Moody's Investors Service Financial Profile

TTM 3Q 2018 Revenue: \$2.8 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



2018 Revenue Guidance as of October 26, 2018

Global	↑	low-single-digit % range
U.S.	↔	approximately flat
Non-U.S.	↑	mid-single-digit % range
Corporate Finance	↔	approximately flat
Structured Finance	↑	high-single-digit % range
Financial Institutions	↑	mid-single-digit % range
Public, Project & Infrastructure Finance	↓	mid-single-digit % range

Broad Coverage Serves Global Needs

\$72+ trillion

of Total Rated Debt



4,700

Rated Non-Financial
Corporates



4,100

Rated Financial Institutions



138

Rated Sovereigns



47

Rated Supranational
Institutions



450

Rated Sub-Sovereigns



17,700

Rated Public
Finance Issuers



11,000

Rated Structured
Deals



1,000

Rated Infrastructure &
Project Finance Issuers



213

Rating
Methodologies



Americas

- » 32,500 rated companies and structured deals
- » \$34+ trillion total debt rated
- » 19,500 research publications
- » Offices in 5 countries



EMEA

- » 4,600 rated companies and structured deals
- » \$21+ trillion total debt rated
- » 6,300 research publications
- » Offices in 12 countries



APAC

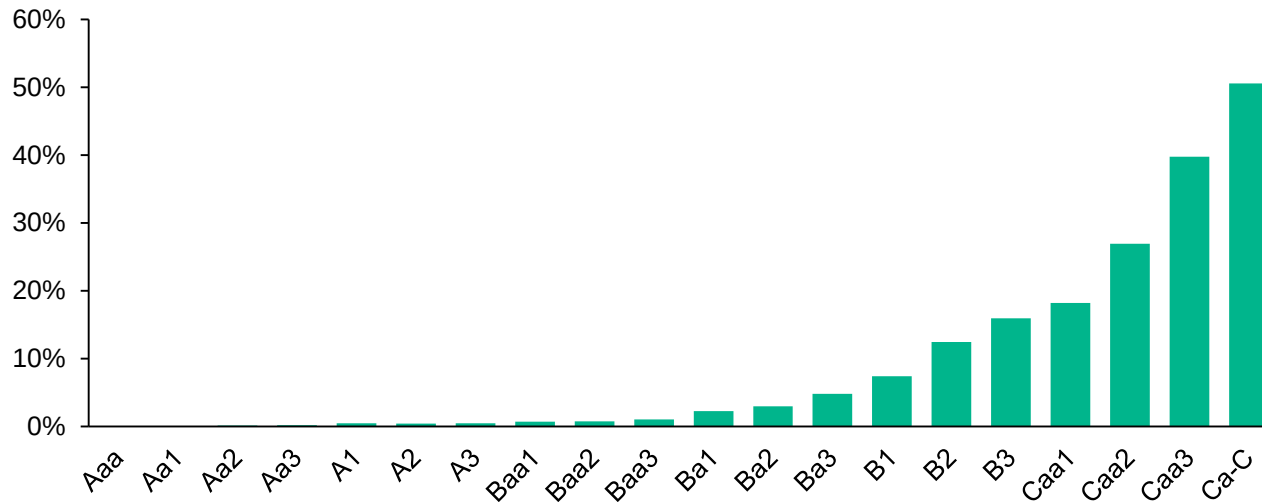
- » 2,000 rated companies and structured deals
- » \$15+ trillion total debt rated
- » 3,500 research publications
- » Offices in 7 countries

Note: Data as of December 31, 2017.

Numbers of rated entities (other than sovereigns and supranational institutions) and structured deals, research publications and event participants/activities rounded to nearest hundred.

Rating Performance Drives Investor Confidence

Three-Year Cumulative Default Rates of Fundamental Rated Universe¹



~15 Years
Lead/Senior Analyst
tenure

**Institutional
Investor**

#1 U.S. Credit
Rating Agency
2012-2018²

- » We remain focused on analytical expertise and the continuous refinement of our credit methodologies to provide predictive, predictable and transparent ratings
- » Reinforces investor “demand pull”

1. The data in the chart above shows the three-year cumulative default rates by rating from January 1998, through December 2017 of fundamental Moody's rated universe globally. Rating category is based on senior unsecured rating (or equivalent) of the issuer. Source: Moody's Investors Service.
2. Institutional Investor Survey.

Illustrative Value of a Moody's Rating

Example: 10 year \$500 million corporate bond

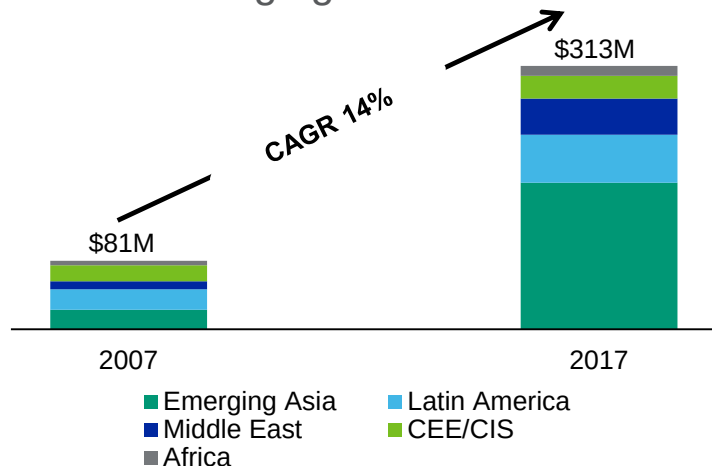
<u>Unrated</u>		<u>Rated by Moody's</u>
\$500,000,000	Bond	\$500,000,000
x 4.3%	Interest rate	x 4.0%
= \$21,500,000	Annual interest payments	= \$20,000,000
x 10 years	Tenor	x 10 years
= \$215,000,000	Lifetime interest expense	= \$200,000,000

**\$15 million in total interest expense
vs.
lifetime cost of a rating**

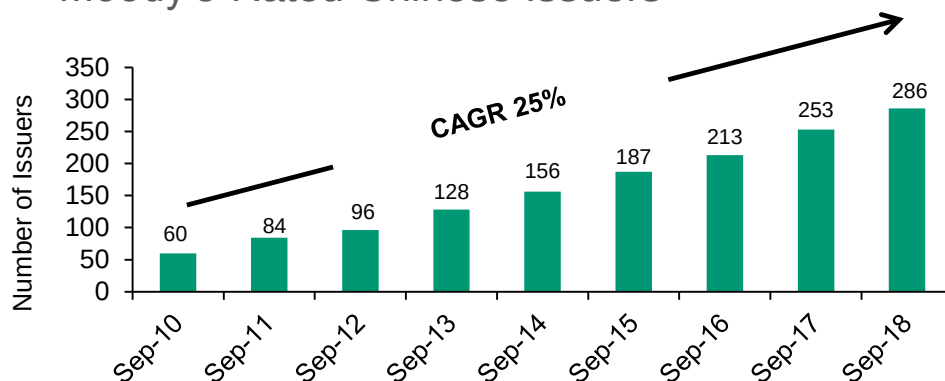
Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Continue to Invest in Key International Markets

Revenue in Emerging Markets



Moody's-Rated Chinese Issuers¹



1. Includes rated issuers where major operations or headquarters are in Mainland China. Hong Kong, Macau and Taiwan are not included.
 2. Based on full year 2017 rated bond issuance (deal count) in China's Interbank Market. Source: CCXI.
 Sources: Dealogic, Moody's Analytics, Moody's Investors Service.

China



- » Successful joint venture with CCXI, leading domestic rating agency
- » CCXI provides >1,000 domestic Chinese ratings; 34% coverage in 2017²
- » Cross border market rated via MIS Hong Kong office
- » In 2017, China announced it will allow foreign firms to provide credit rating services in part of the domestic market

Latin America



- » Deepens Moody's presence in a dynamic and expanding market

Rest of World



- » Acquired full ownership of KIS, a leading provider of domestic credit ratings
- » Increased majority stake in ICRA to serve growing domestic bond market
- » Opened Saudi Arabia office

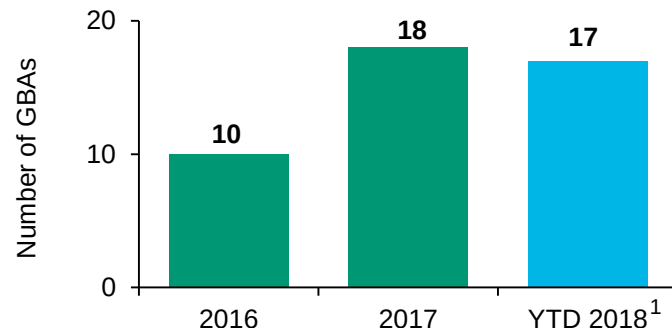
Moody's Investors Service ESG Initiative

Three Primary Objectives



Analysis

- » Develop systematic and transparent incorporation of ESG issues into analytical process
- » Expand global Green Bond Assessment (GBA) franchise



Research

- » Expand MIS research focused on ESG risks and opportunities to meet growing market demand



Outreach

- » Elevate Moody's voice in ESG sphere as a thought leader
- » Collaborate with key organizations and influencers in the market



1. As of September 30, 2018.

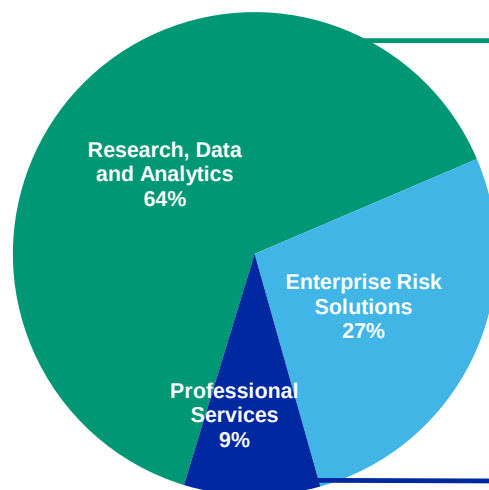
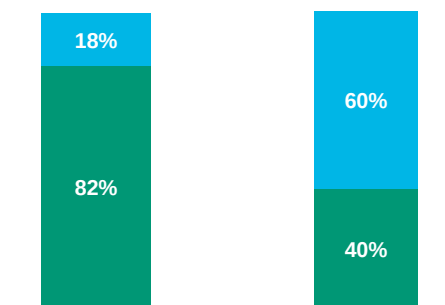
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Moody's Analytics

Moody's Analytics Financial Profile

TTM 3Q 2018 Revenue: \$1.7 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



» 98% recurring revenue
» > 95% retention rate¹

» 72% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

2018 Revenue Guidance as of October 26, 2018

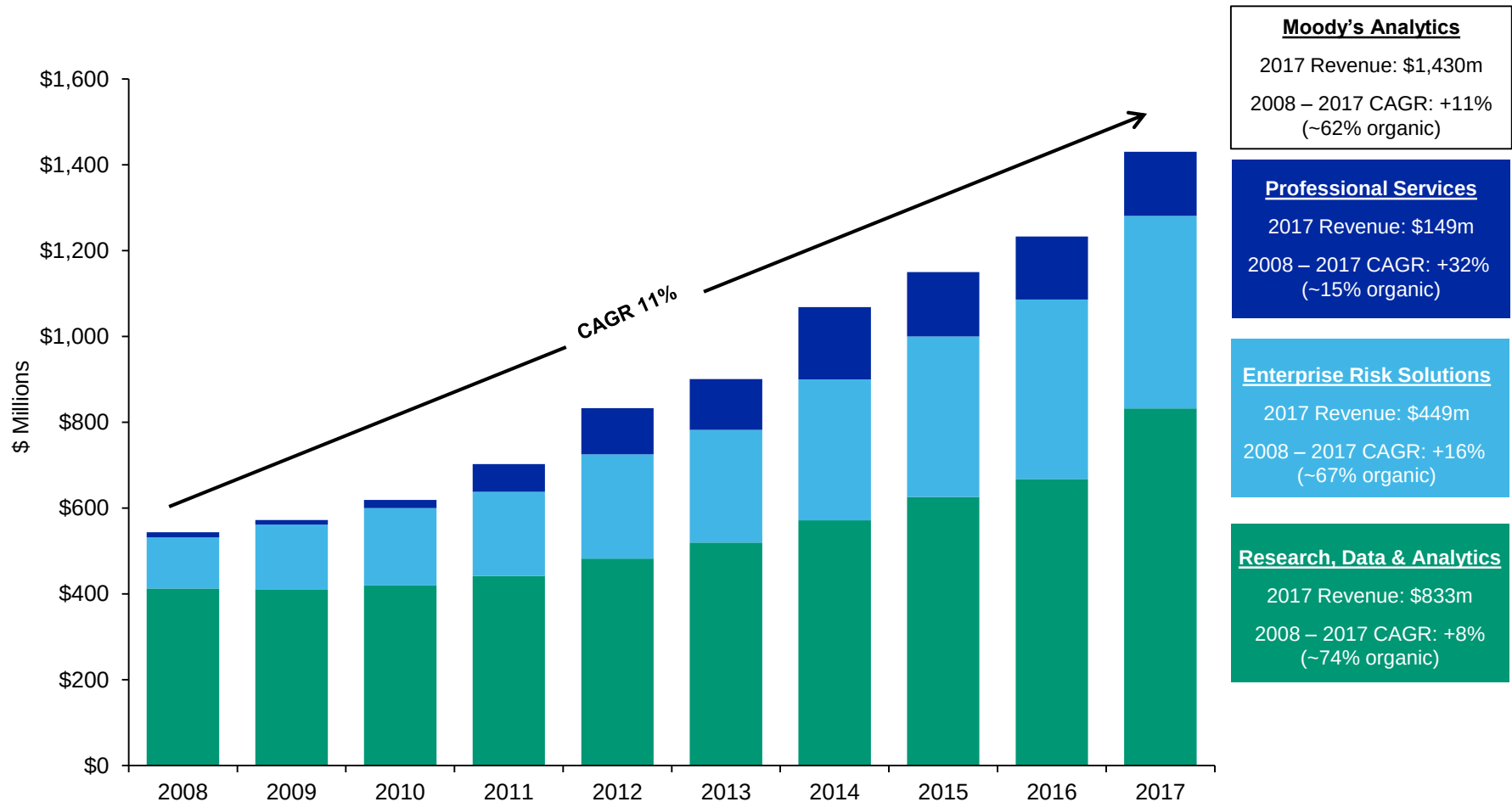
Global ²	↑	low-twenties % range
U.S.	↔	approximately 10%
Non-U.S.	↑	low-thirties % range
Research, Data & Analytics ²	↑	high-thirties % range
Enterprise Risk Solutions	↓	low-single-digit % range
Professional Services	↑	high-single-digit % range

1. Excludes Bureau van Dijk.

2. Organic MA global revenue is expected to increase in the high-single-digit percent range and organic RD&A revenue is expected to increase in the low-teens percent range.

Moody's Analytics has Several Platforms for Growth

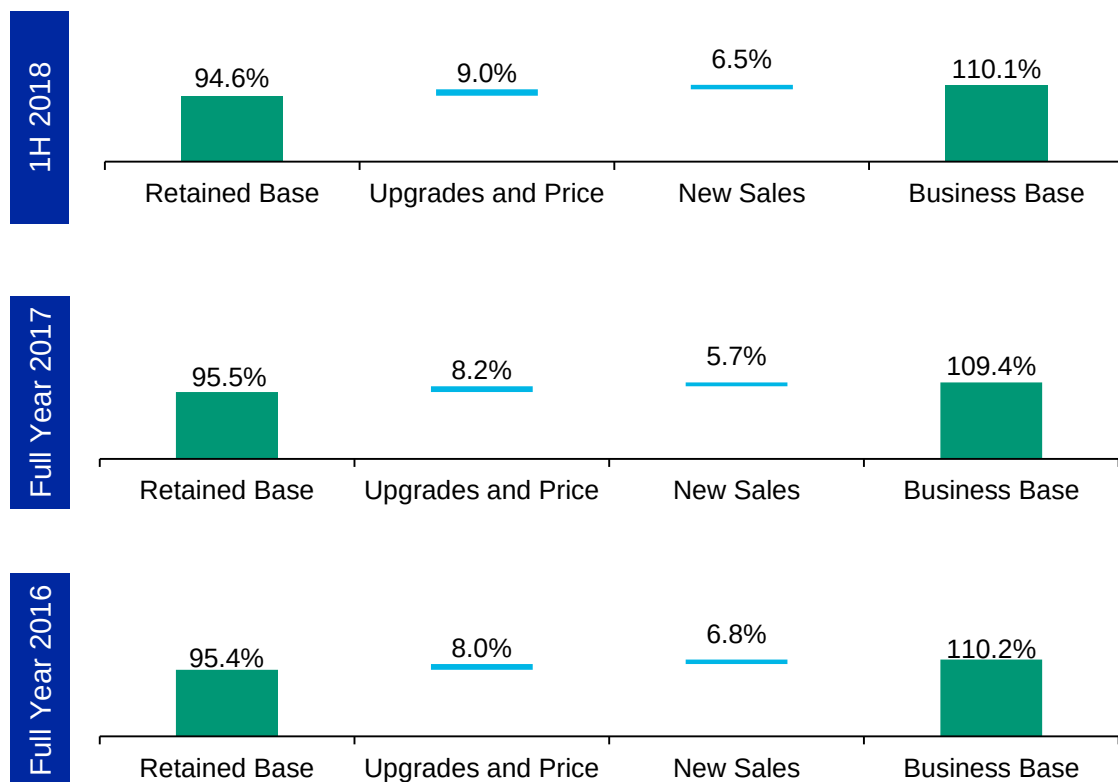
Revenue More Than Doubled Since Inception



Note: Individual line of business revenues may not foot due to rounding.

RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales

Subscription Sales Growth
(constant currency)



Expansion of ratings coverage



Production of insightful credit analysis



New customers in geographies with developing debt capital markets



Expansion of data sets and delivery options



Strong customer retention

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis and excludes Bureau van Dijk. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers.

Bureau van Dijk Collects and Enhances Information to Deliver a Market Leading Global Dataset

Diversified IP Network¹

280 Million
Private Companies

67 Thousand
Public Companies

170 Million
Director Contacts

Data from 160+
Information Providers

Publicly Available Data

Other Data Sourced
By Bureau van Dijk

High Value Customer Solutions



Compliance and Financial Crime



Corporate Finance and M&A



Credit Risk



Transfer Pricing



Business Development



Data Management

1. Data as of December 31, 2017.

ERS Solutions Address Diverse Needs and Customers

Credit Risk & Actuarial Analytics

Helps risk managers assess and manage current and future exposures across all asset classes

Accounting Calculation & Reporting

Produces key calculations and reports required by many of the world's accounting standards

Regulatory Calculation & Reporting

Generates key calculations and reports required by many of the world's financial regulations

Credit Assessment & Origination

Automates financial spreading and credit scoring, decision making and monitoring

Portfolio & Capital Strategy

Helps firms to improve portfolio performance and meet regulatory and economic capital requirements

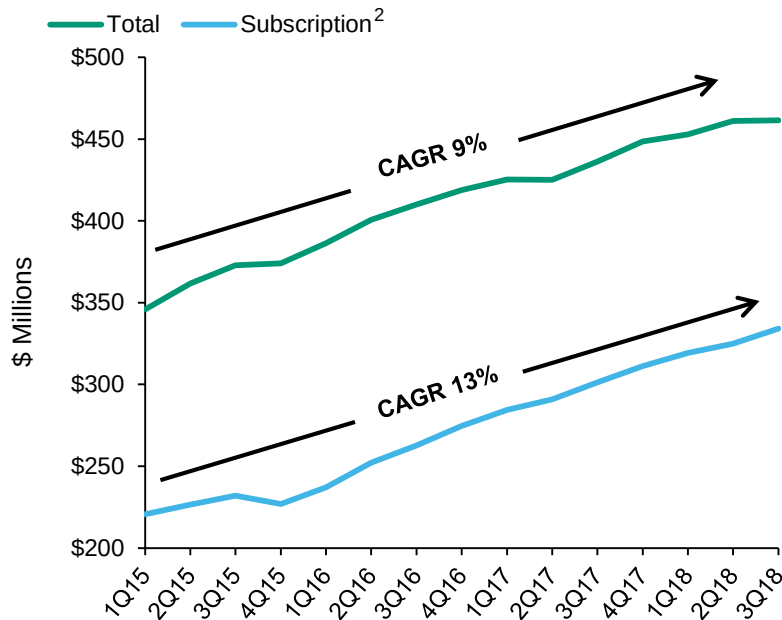
Asset & Liability Management

Integrates ALM, liquidity risk management, funds transfer pricing and regulatory reporting capabilities into a seamless enterprise platform



ERS Subscription Products Drive Growth

TTM¹ Revenue



TTM¹ as of 3Q18:

- » Subscriptions:
 - Sales +9%; Revenues +11%
- » Non-recurring (one-time):
 - Sales -11%; Revenues -6%

1. Trailing twelve months (TTM) as of September 30, 2018.
2. Subscription revenue includes subscriptions and maintenance.

Prior: Growth from installed software

- » One-time projects – installed software & services
- » Bespoke projects accelerated development of IP
- » 61% of revenue from renewable products in 2015

Now: SaaS & subscriptions driving growth

- » Expanding SaaS and subscription product array
- » Subscriptions generate lower Annual Contract Value in short run, but better Lifetime Customer Value
- » ~70% of revenue from subscription products over TTM¹

Key Growth Drivers

- » New accounting standards require Moody's expertise at banks and Insurance companies
 - CECL, IFRS17
- » Moody's software and analytics enable customers' to realize digitization and automation initiatives

5

Conclusion

Why Invest in Moody's?



We strive to be the world's most respected authority serving risk-sensitive financial markets



We have had strong revenue and earnings growth, as well as cash flow conversion

- 2013 – 2017 revenue CAGR of 9%
- 2013 – 2017 adjusted diluted EPS¹ CAGR of 15%
- 2013 – 2017 free cash flow¹ conversion rate of ~28%



We are committed to returning capital to our shareholders

- 2013 – 2017 returned \$5.4 billion, or 114% of free cash flow, to shareholders via share repurchases and dividends



We will selectively invest in strategic growth opportunities

- Leverage brand to extend our relevance in financial markets
- Expand our product offerings and geographic influence

1. Adjusted diluted EPS is an adjusted measure. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

Globally and locally acknowledged for award-winning tools to measure and manage risk.

Moody's Investors Service



Market Leadership Award, Islamic Finance Intelligence & Ratings: 2016–2018
Best Islamic Finance Rating Agency: 2015



Multi-award winner including best rating agency categories: 2015–2018



Best Islamic Rating Agency: 2015, 2017



#1 US Rating Agency: 1997–2017



Best Credit Rating Agency Mexico: 2018



Multi-award winner: 2016–2017
Green Rating Agency of the Year: 2017



Best CLO Rating Agency: 2016–2017



Most Influential Credit Rating Agency: 2013–2016*



#1 US Credit Rating Agency: 2012–2018



Australian Rating Agency of the Year: 2014–2017



Best Rating Agency: 2017



#1 Asia Credit Rating Agency: 2012–2016*

Moody's Analytics



Ranked 19th in the Overall Top 100 Rankings



CECL Technology Category Leader



Best ESG Solution
Best Solvency II Solution



Ranked 5 out of 100
Credit Risk Category Winner
Enterprise Stress Testing Solution Category Winner



#1 IFRS 9
#1 Asset and Liability Management
#1 Regulatory Capital Calculation and Management
#1 Economic Capital Calculation and Management



Balance Sheet Management Technology Category Leader



Best Solvency II Tech Solutions Category Winner



Winner, 2012
Expectations category (2- and 3-Year Horizon)



Best Credit Risk Solution Provider – RiskCalc™



Compliance Risk Technology Implementation of the Year and Credit Risk Technology Implementation of the Year



Technology Vendor of the Year



Credit Data Provider of the Year
Wholesale Credit Modeling Software of the Year
Credit Stress Testing Product of the Year



CLO Data Provider of the Year



Stress Testing Product of the Year Category Winner
Economic Scenario Generation Product of the Year Category Winner
Solvency II Product of the Year Category Winner
Regulatory Reporting Product of the Year Category Winner



Credit Risk Technology Category Leader



Innovation in Customer Service - Financial Services Industries



Best Buy-Side Market Surveillance Tool Category Winner – Structured Finance Portal

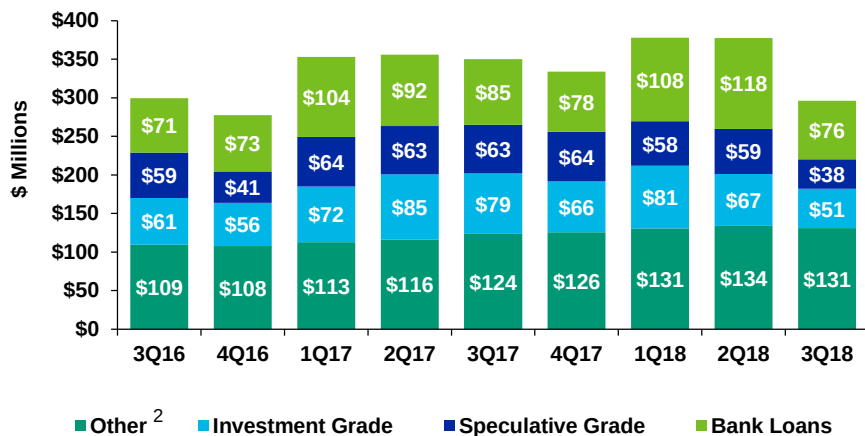
* discontinued in 2017

6

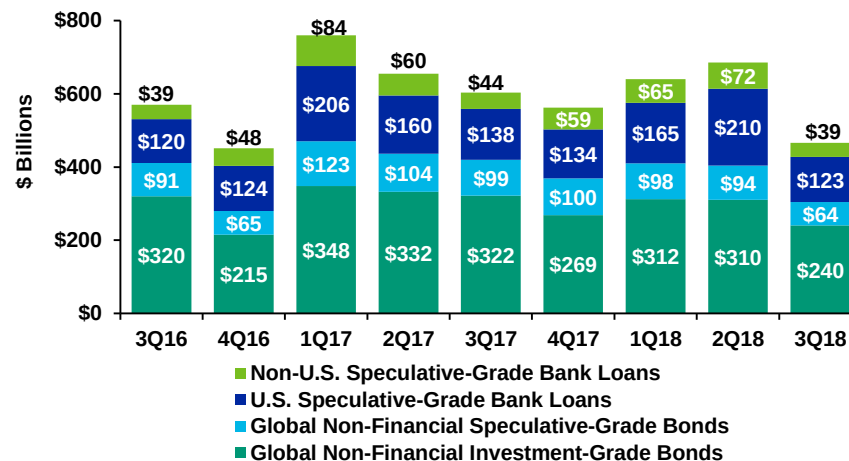
Appendix

Corporate Finance: Revenue and Issuance

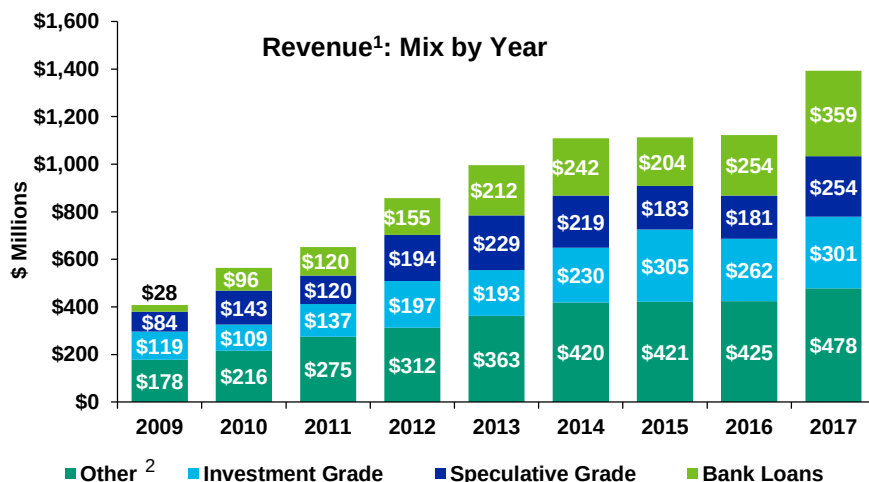
Revenue¹: Mix by Quarter



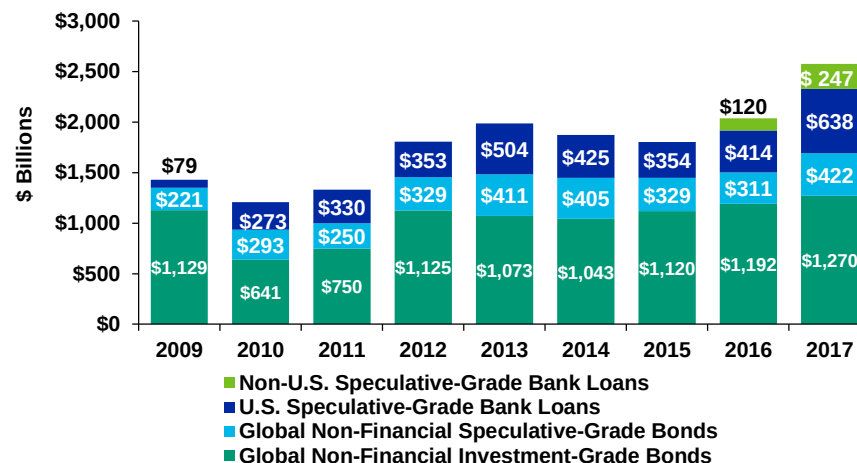
Issuance³: Mix by Quarter



Revenue¹: Mix by Year



Issuance³: Mix by Year



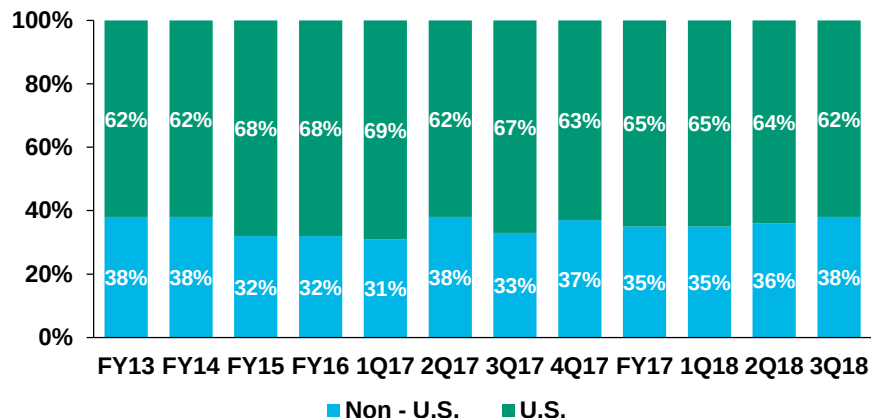
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

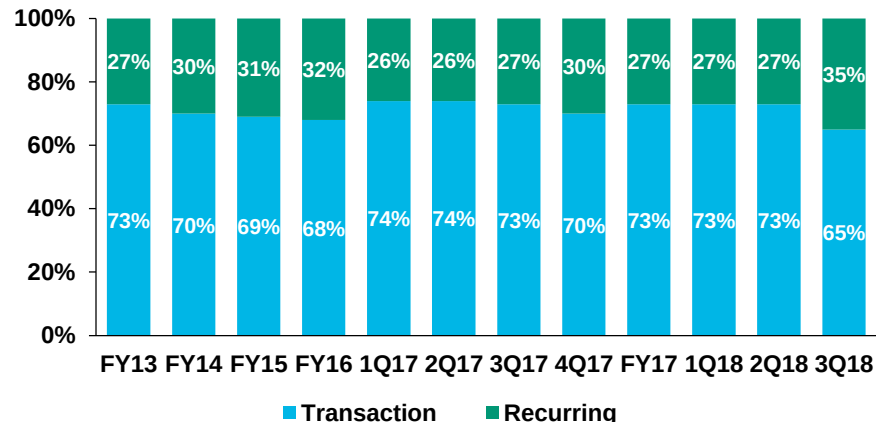
3. Sources: Moody's Analytics, Dealogic. U.S. and Non-U.S. Speculative-Grade Bank Loans represent only Moody's rated speculative-grade bank loans. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

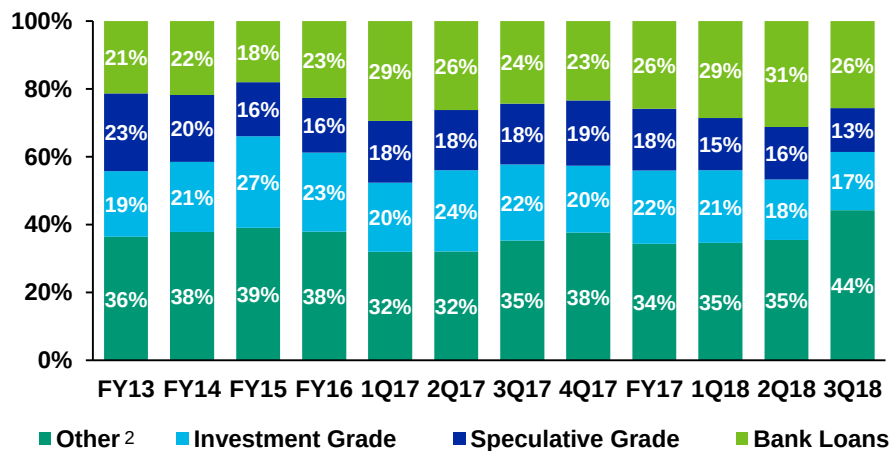
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



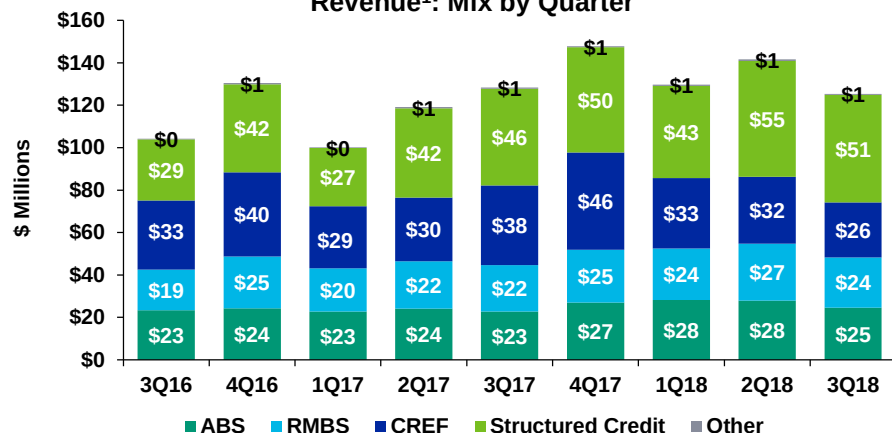
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

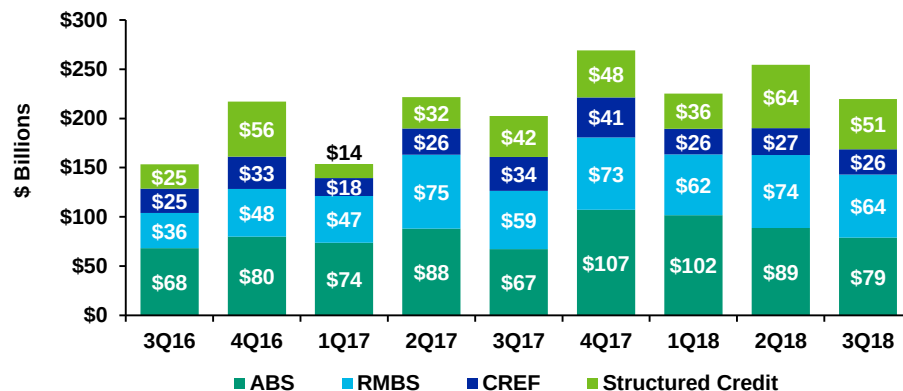
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

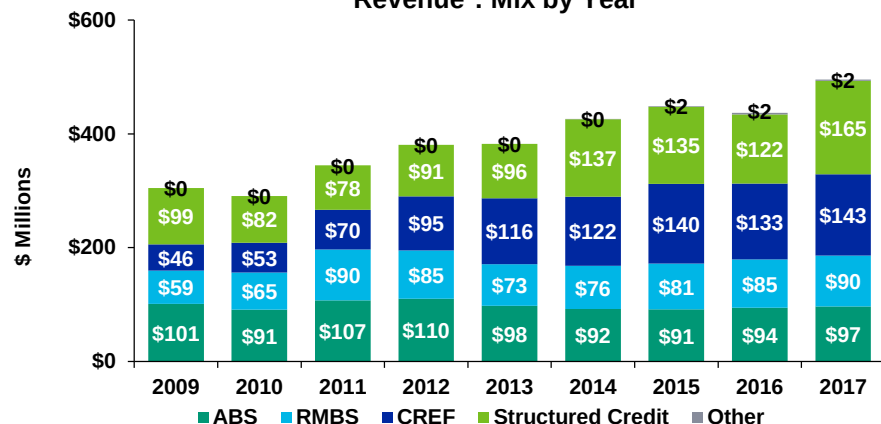
Revenue¹: Mix by Quarter



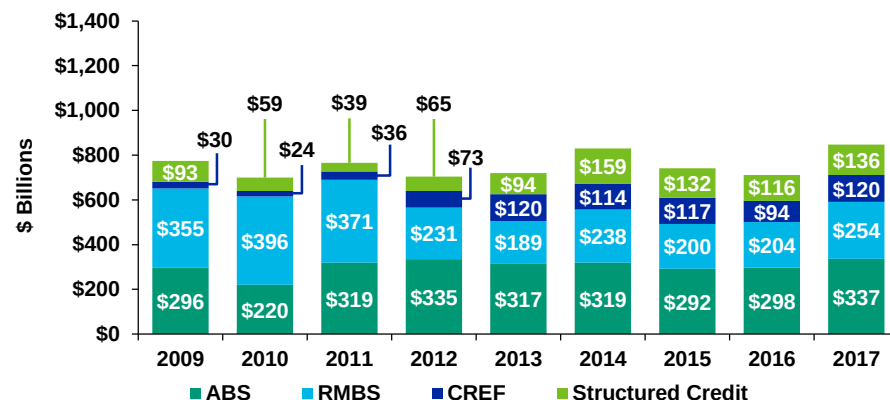
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year



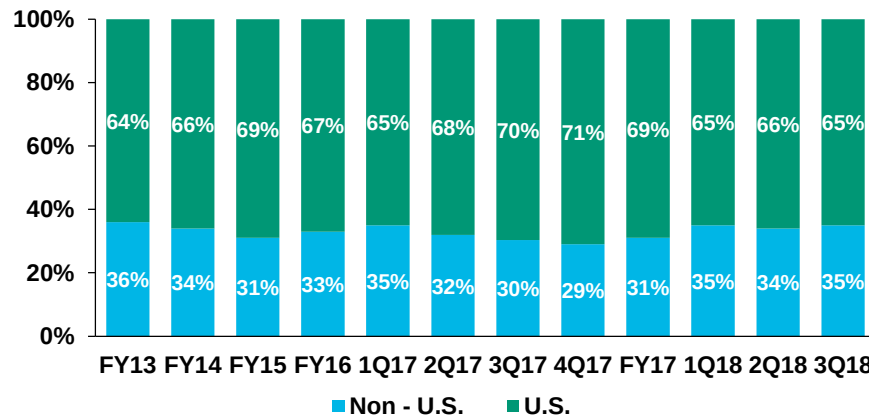
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

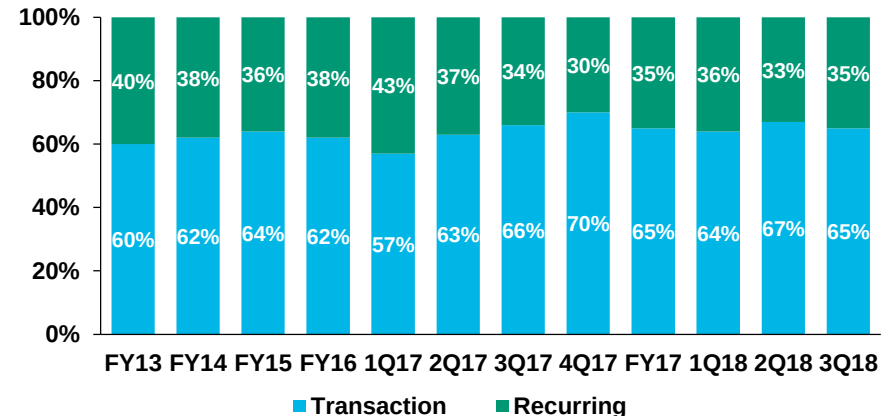
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

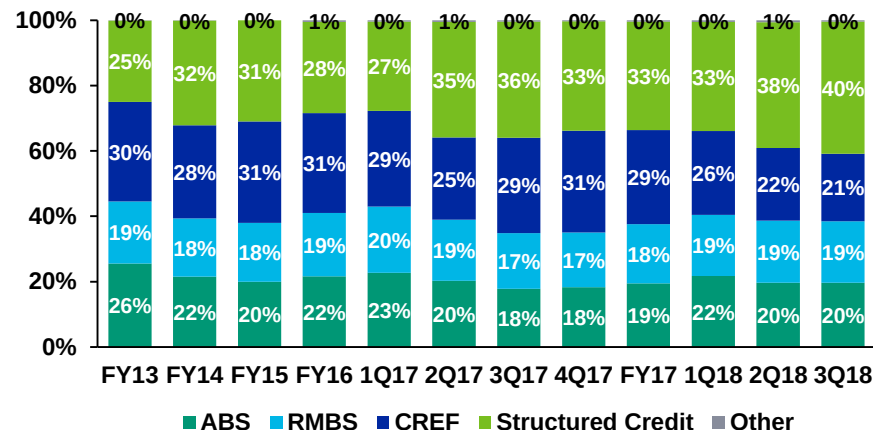
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction



Revenue¹: Distribution by Product



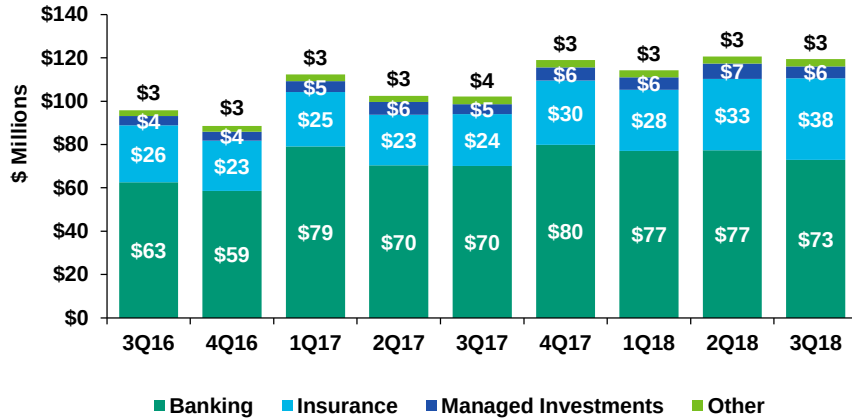
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

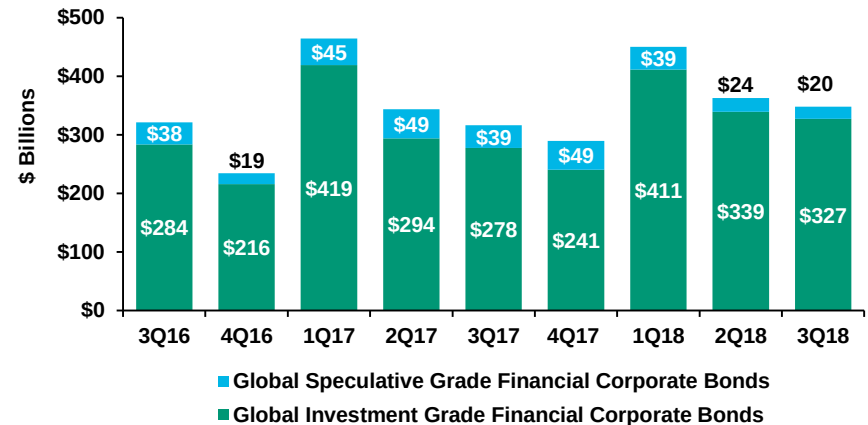
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Financial Institutions: Revenue and Issuance

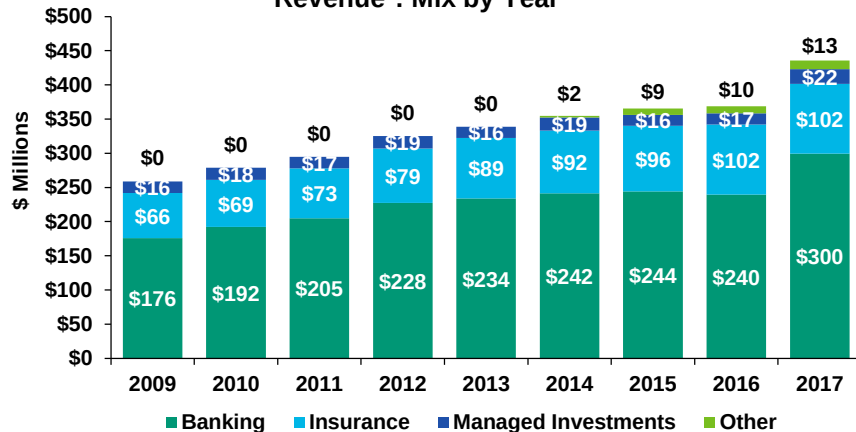
Revenue¹: Mix by Quarter



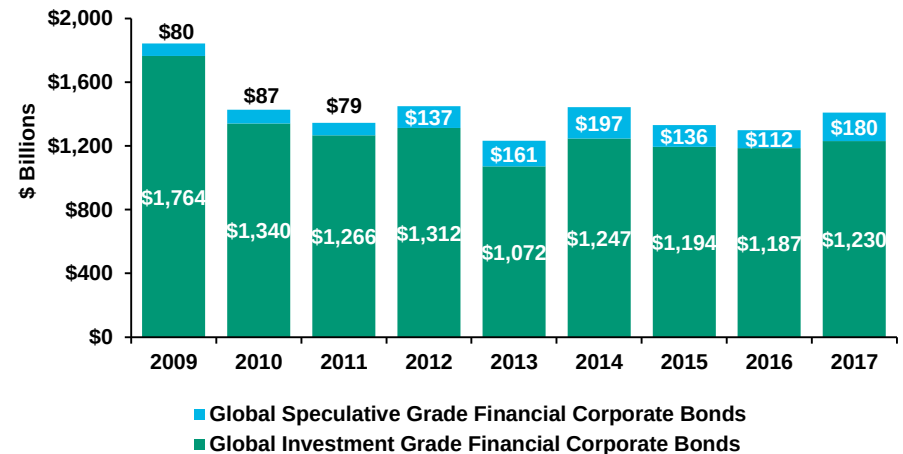
Issuance²: Mix by Quarter



Revenue¹: Mix by Year



Issuance²: Mix by Year

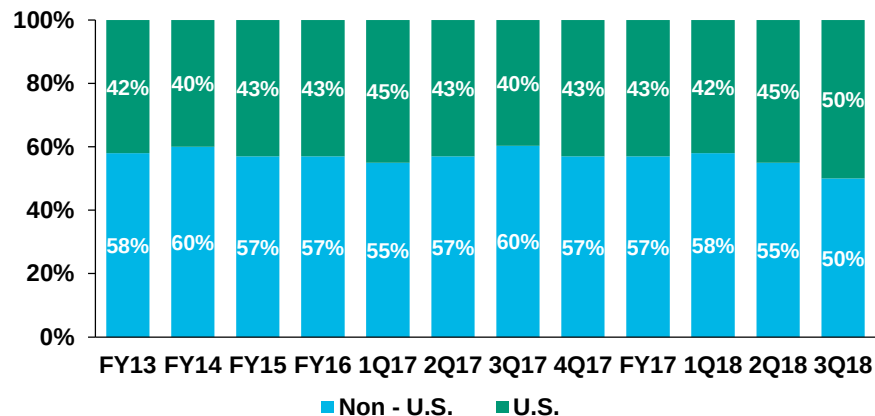


1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

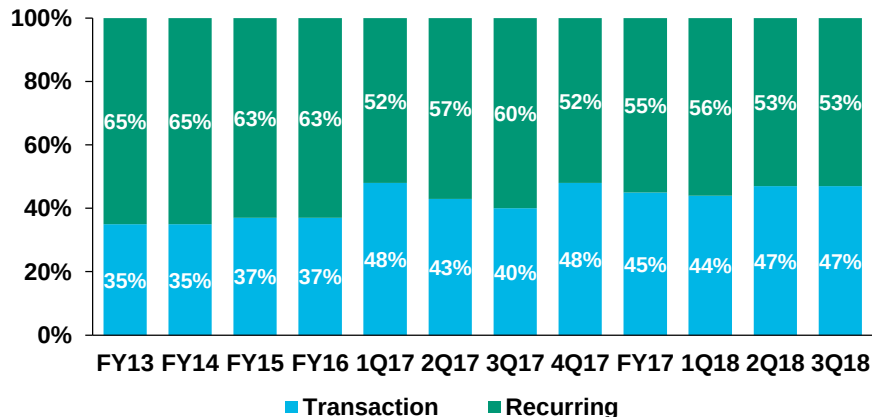
2. Sources: Moody's Analytics, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

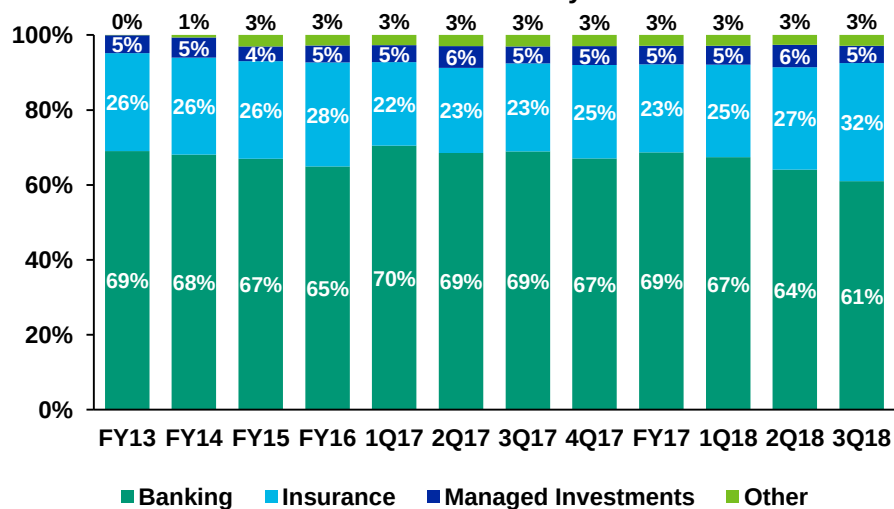
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction

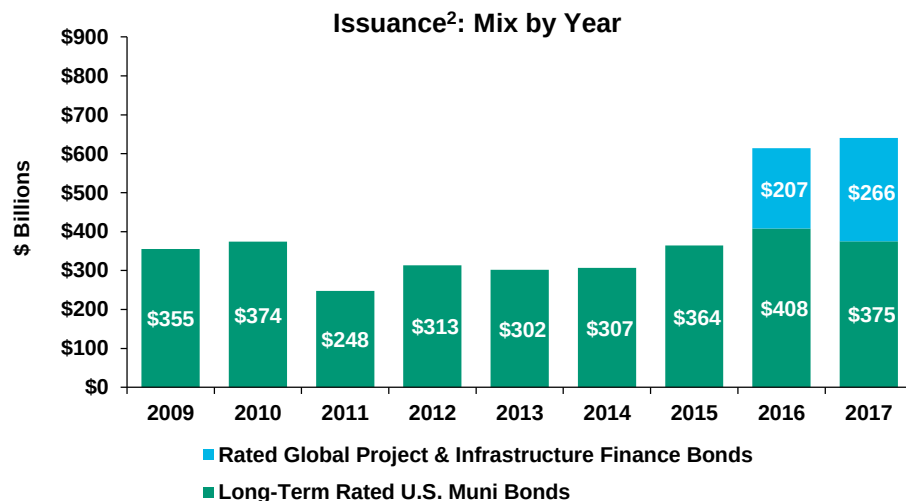
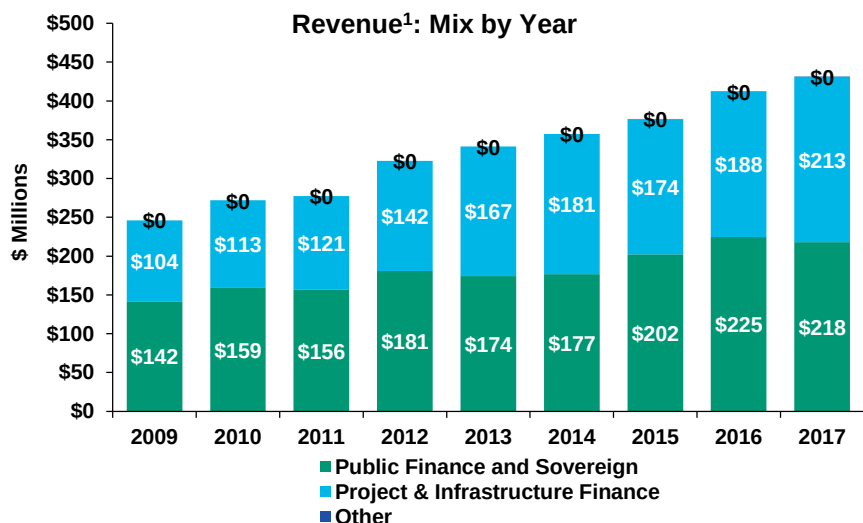
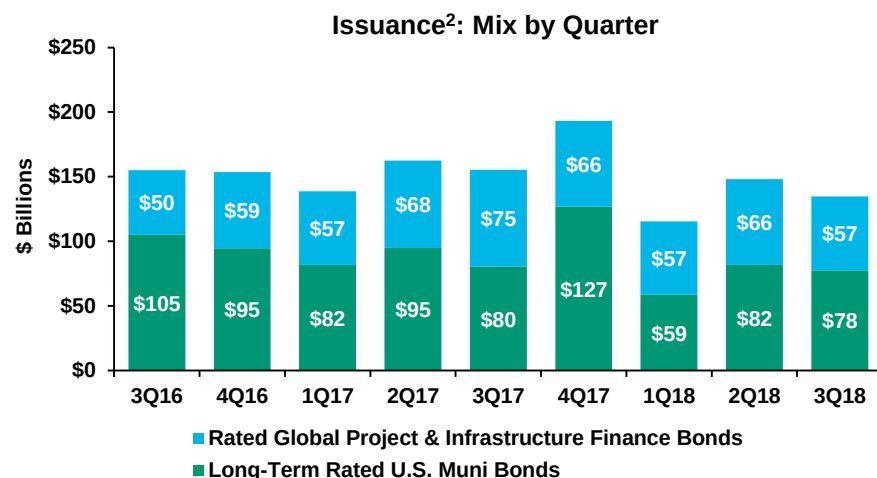
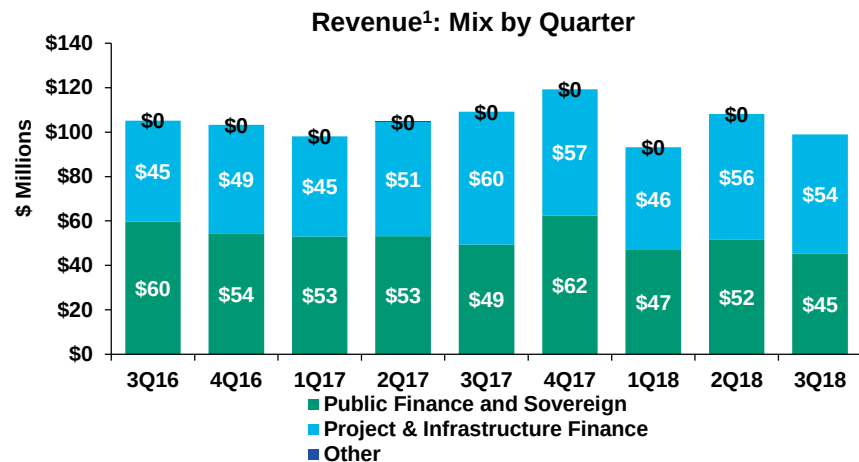


Revenue¹: Distribution by Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance



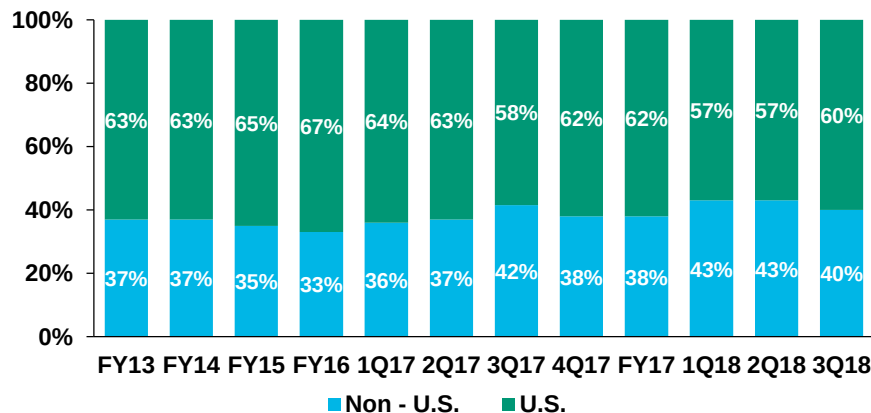
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

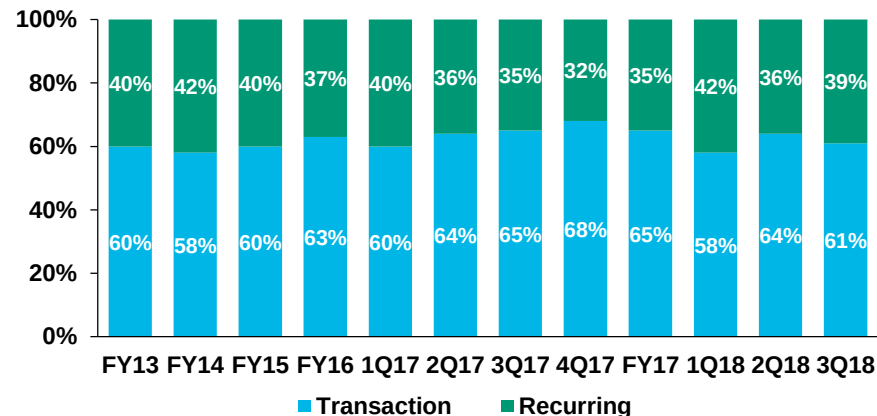
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

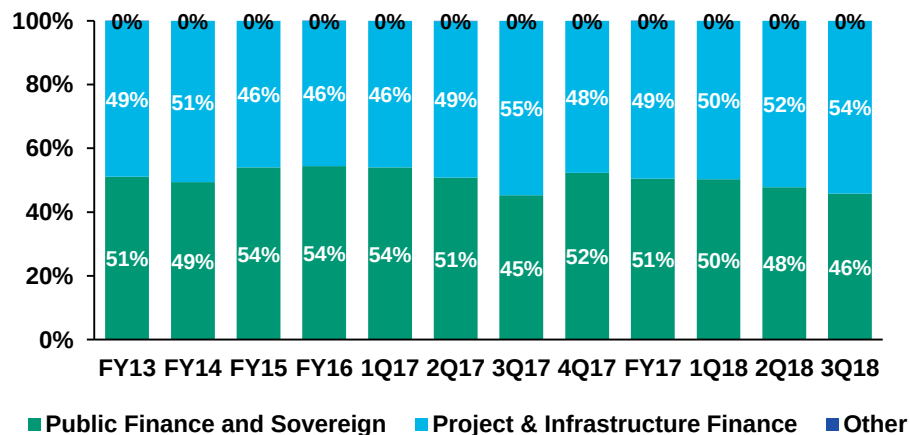
Revenue¹: Distribution by Geography



Revenue¹: Distribution by Recurring vs. Transaction

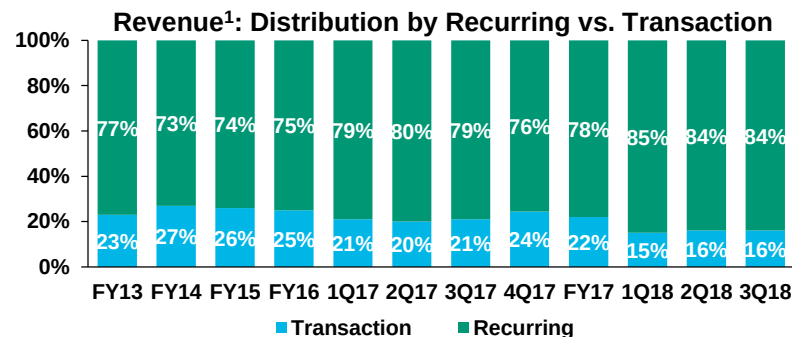
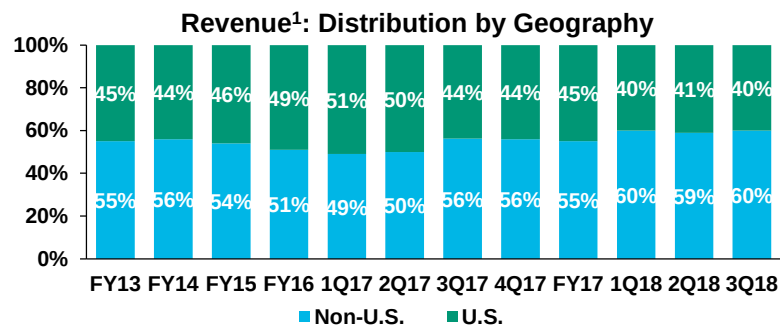
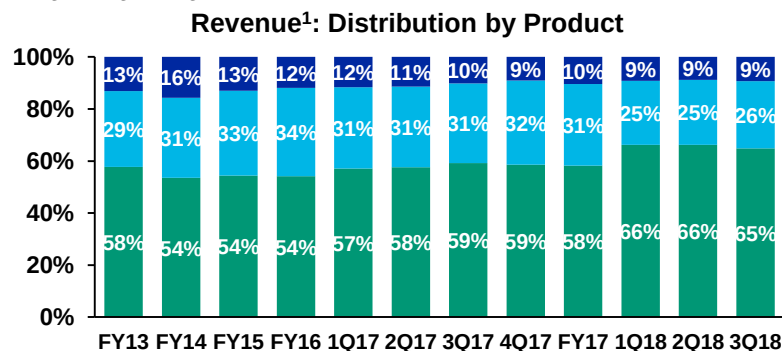
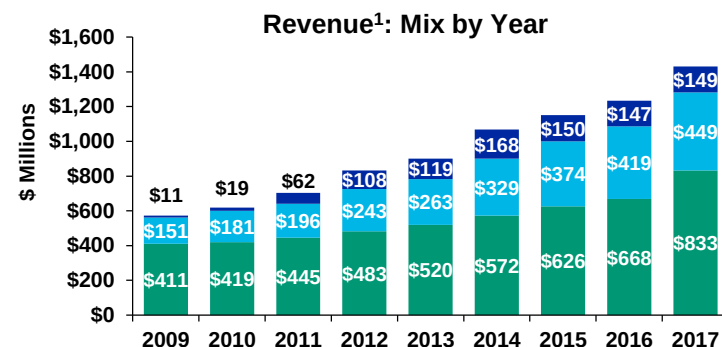
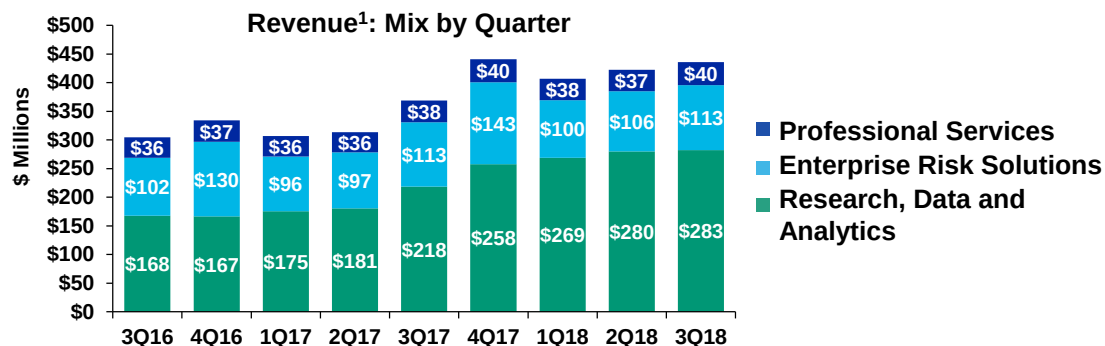


Revenue¹: Distribution by Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

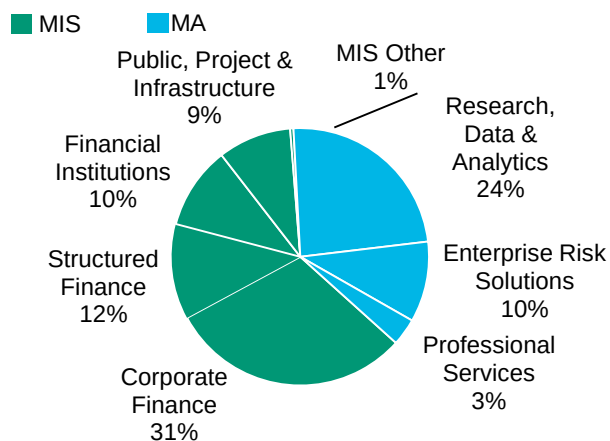
Moody's Analytics: Financial Overview



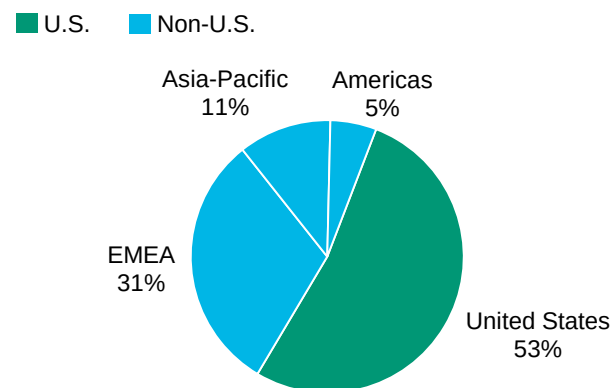
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Research, Data and Analytics includes Bureau van Dijk revenue beginning from the acquisition close date, August 10, 2017.
Percentages have been rounded and may not total to 100%.

Revenue is Diversified by Business, Geography and Type

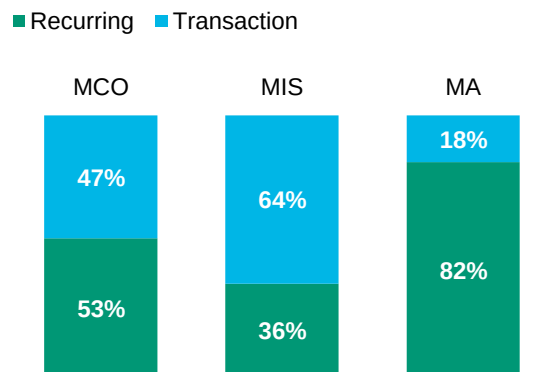
TTM 3Q18 Revenue by Business



TTM 3Q18 Revenue by Geography



TTM 3Q18 Revenue by Type



Moody's Corporate Speculative Grade Credit Cycle Gauge

	North America				Europe			
	Latest Metric	1-Year Ago	Long-Term Average ¹	Record Worst	Latest Metric	1-Year Ago	Long-Term Average ²	Record Worst
Liquidity Stress Index	3.3%	3.0%	6.4%	20.8%	5.6%	8.6%	11.1%	18.5%
B3-Neg / Lower	188	214	194	291	39	48	44	60
% B3-Neg / Lower	12.3%	15.1%	15.0%	26.1%	8.1%	10.8%	11.4%	17.2%
3-Year Refunding Index	3.2x	4.6x	6.1x	1.5x	N/A	N/A	N/A	N/A
Downgrade / Upgrade Ratio ³	0.6x	0.8x	3.3x	11.7x	2.4x	0.4x	2.3x	20.5x
Bond Covenant Quality Score	4.30	4.47	4.07	4.52	3.79	3.69	3.40	4.85
Loan Covenant Quality Score	4.09	4.08	3.79	4.10	N/A	N/A	N/A	N/A
Default Rate (forecast)	2.0%	3.1%	4.7%	14.7%	2.0%	2.0%	3.7%	13.0%

Improving

Neutral

Trending Worse

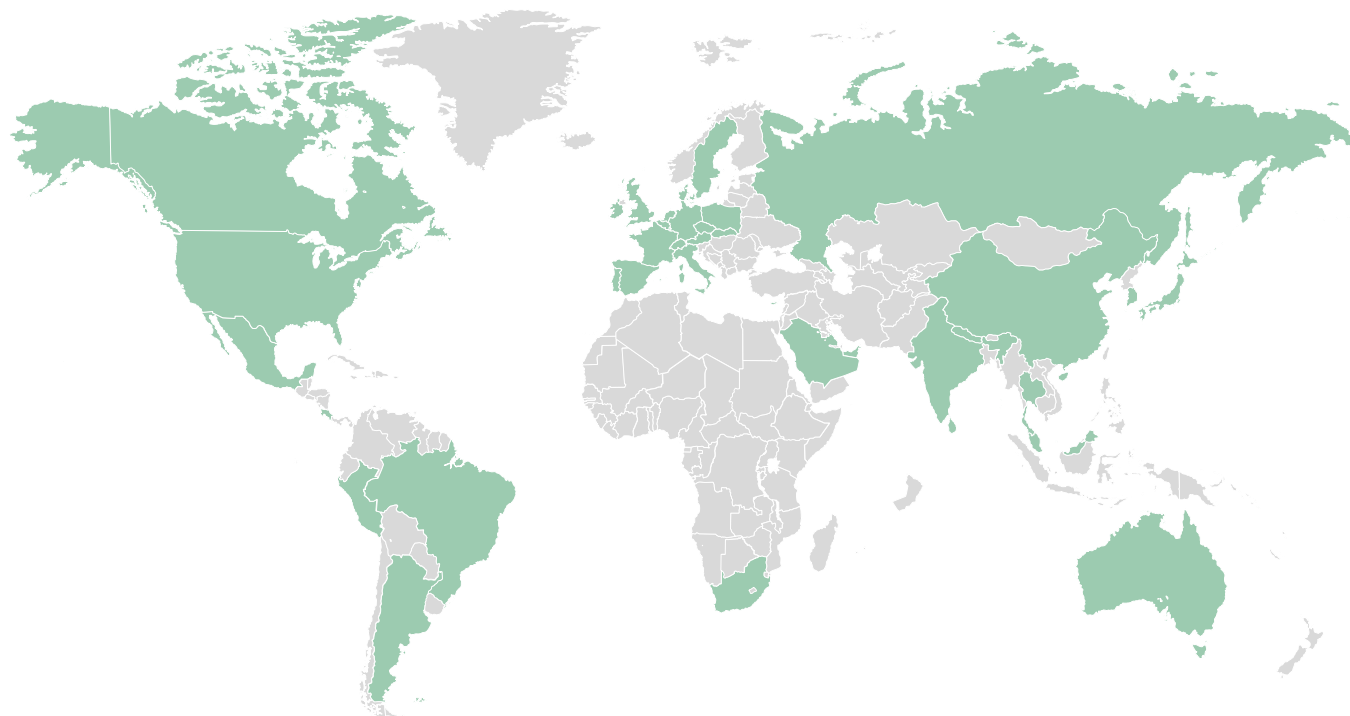
1. North America long-term average: LSI: from 2002, B3-Neg: from 2007, Refunding: from 2007, Downgrade / Update Ratio: from 2008, Bond CQ score: from 2011, Loan CQ: from 2012, Default rate: from 1990.

2. Europe long-term average: LSI: from 2012, CQ Score: from 2011, B3-Neg: from 2011, Downgrade / Update Ratio: from 2009, Default rate: from 1999.

3. Trailing twelve months (TTM) ended September 30, 2018.

Source: Moody's Investors Service.

Moody's Global Presence



Americas

Argentina
Brazil
Canada
Costa Rica

Mexico
Panama
Peru
United States

Europe, Middle East & Africa

Austria
Belgium
Cyprus
Czech Republic
Denmark
France
Germany
Ireland
Israel
Italy
Mauritius
Netherlands

Poland
Portugal
Russia
Saudi Arabia
Slovakia
South Africa
Spain
Sweden
Switzerland
UAE
United Kingdom

Asia-Pacific

Australia
China
Hong Kong
India
Japan
Korea

Malaysia
Nepal
Singapore
Sri Lanka
Thailand

2018	3,743	+	8,878	=	12,621
	U.S. employees		non-U.S. employees		total employees ¹

2017	3,566	+	8,182	=	11,748
	U.S. employees		non-U.S. employees		total employees ²

1. As of September 30, 2018.

2. As of September 30, 2017.

CSR: Reshape Tomorrow Partners

Global Initiative Empowering Entrepreneurs to Overcome the Challenges of Expanding Their Enterprises



Providing strategic and operational assistance for global social entrepreneurs to scale their businesses serving low-income consumers and lifting them out of poverty.



Shanghai-based program helping migrant women access capital and credit through tailored training, coaching and networking.



Global program to improve social entrepreneurs' ability to access credit. Moody's will sponsor while cultivating a community of early stage lenders committed to social impact.



Helping 1,000 retail shop owners in Kenya by providing working capital to youth and women entrepreneurs in South Africa to reduce unemployment and boost local economies.



Capacity building program in Latin America to give entrepreneurs the tools to grow successful businesses, such as team management and financial planning.



Training program to help women business owners access capital and markets in Canada, Germany and Nigeria by building more inclusive global value chains.

Learn more at moody's.com/csr

Reconciliation of Adjusted Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation¹

(in \$ millions)	2013	2014	2015	2016	2017	TTM 3Q18
Operating Income	\$1,248.0	\$1,449.8	\$1,490.7	\$650.9	\$1,820.8	\$1,957.1
Operating Margin	42.0%	43.5%	42.8%	18.1%	43.3%	43.0%
Add Adjustment:						
Depreciation & Amortization	93.4	95.6	113.5	126.7	158.3	193.5
Acquisition-Related Expenses	-	-	-	-	22.5	9.9
Restructuring	-	-	-	12.0	-	-
Goodwill Impairment Charge	-	-	-	-	-	-
Settlement Charge	-	-	-	863.8	-	-
Adjusted Operating Income	<u>\$1,341.4</u>	<u>\$1,545.4</u>	<u>\$1,604.2</u>	<u>\$1,653.4</u>	<u>\$2,001.6</u>	<u>\$2,160.5</u>
Adjusted Operating Margin	45.1%	46.3%	46.0%	45.9%	47.6%	47.5%

Moody's Corporation Net Debt Reconciliation

(in \$ millions)	2010	2011	2012	2013	2014	2015	2016	2017	3Q 2018
Gross debt	\$1,239.6	\$1,243.8	\$1,663.5	\$2,091.3	\$2,532.1	\$3,380.6	\$3,363.0	\$5,540.5	\$4,954.5
Less: Cash, cash equivalents and short-term investments	672.3	774.8	1,773.3	2,106.3	1,677.6	2,232.2	2,224.9	1,183.3	1,145.5
Net debt	<u>\$567.3</u>	<u>\$469.0</u>	<u>(\$109.8)</u>	<u>(\$15.0)</u>	<u>\$854.5</u>	<u>\$1,148.4</u>	<u>\$1,138.1</u>	<u>\$4,357.2</u>	<u>\$3,809.0</u>

1. 2013 - 2017 operating and adjusted operating income have been restated to conform to the new presentation of pension accounting.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Operating Margin Guidance Reconciliation

	2018F ¹
Projected Operating Margin - GAAP	Approximately 43%
Projected impact from Depreciation & Amortization	Approximately 4%
Restructuring	Approximately 1%
Projected impact from Acquisition-Related Expenses	Negligible
Projected Adjusted Operating Margin	<u>Approximately 48%</u>

Free Cash Flow Reconciliation²

(in \$ millions)	2013	2014	2015	2016	2017	2018F ¹
Net cash flows from operating activities	\$965.6	\$1,077.3	\$1,198.1	\$1,259.2	\$740.40	~\$1,600
Less: Capital expenditures	42.3	74.6	89.0	115.2	90.6	~\$85
Free Cash Flow	\$923.3	\$1002.7	\$1,109.1	\$1,144.0	\$649.80	~\$1,500

1. Guidance as of October 26, 2018.

2. In 2017, the Company adopted ASU 2016-09 "Improvements to Employee Share-Based Payment Accounting" on a retrospective basis. In Q1 2018, the Company adopted ASU No. 2016-15, "Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments (a Consensus of the Emerging Issues Task Force)" on a retrospective basis.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Diluted EPS Reconciliation

	2013	2014	2015	2016	2017	2018F ¹
Diluted EPS - GAAP	\$3.60	\$4.61	\$4.63	\$1.36	\$5.15	\$6.95 - \$7.10
Legacy Tax	(0.09)	(0.03)	(0.03)	-	-	-
Impact of Litigation Settlement	0.14	-	-	\$3.59	-	-
ICRA Gain	-	(0.37)	-	-	-	-
FX Gain due to Subsidiary Liquidation	-	-	-	(\$0.18)	-	-
Restructuring	-	-	-	\$0.04	-	\$0.10 - \$0.15
CCXI Gain	-	-	-	-	(\$0.31)	-
Acquisition-Related Expenses	-	-	-	-	\$0.10	\$0.02 - \$0.03
Purchase Price Hedge Gain	-	-	-	-	(\$0.37)	-
Net Acquisition-Related Intangible Amortization Expenses	\$0.09	\$0.10	\$0.11	\$0.13	\$0.23	~\$0.40
Impact of U.S. tax reform	-	-	-	-	\$1.28	(\$0.33)
Net Impact of U.S./European tax change on deferred taxes	-	-	-	-	(\$0.01)	-
Increase to non-U.S. UTPs	-	-	-	-	-	\$0.33
Adjusted Diluted EPS	\$3.74	\$4.31	\$4.71	\$4.94	\$6.07	\$7.50 - \$7.65

1. Note: Table may not sum to total due to rounding.
Guidance as of October 26, 2018.

MOODY'S

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